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Energy Services & Equipment | North America

The Offshore Drilling Digest

We see a constructive multi-year setup for offshore, with demand growth amid disciplined supply tightening the market. We expect utilization to rise to mid/high-80% by 2028, pushing dayrates toward 2023 peak levels. Top plays: SLB & HAL. RIG (EW) offers a relatively attractive risk-reward vs peers.

Key Takeaways

- We see offshore rig demand +12% by 2030 (DW: +17% / SW: +10%) with supply ~flat, pushing utilization to ~85%+ and leading-edge dayrates +15-20%.
- We see outsized offshore spending upside in Africa, LatAm ex-Brazil & APAC. In these markets, capex grows +15% YoY in MS '27E & at a +5-10% CAGR in '26-'30.
- Signs of offshore fundamentals tightening: 75Y of YTD DW awards is the highest in ~15Y, contract lead times & duration remain elevated, T-6M DW activity is +7%.
- We assume no incremental supply 2027-30, keeping marketed capacity tight. Cold-stacked high-spec floaters are concentrated among a few disciplined drillers.
- SLB & HAL remain our preferred ways to play the global OFSE upcycle, including offshore strength. RIG (EW) offers a relatively attractive risk-reward vs peers.

The Extel (formerly II) survey is now open. We would greatly appreciate your support for the Morgan Stanley Energy team:

- **Joe Laetsch & Dan Kutz:** Oil Services & Equipment
- **Devin McDermott:** (1) Integrated Oil, (2) Oil & Gas Exploration & Production
- **Robert Kad:** Midstream & Natural Gas

How to vote: Request a ballot ([here](#))



An offshore drilling upcycle? As highlighted previously ([see here](#)), we see a constructive multi-year offshore setup, driven by steady demand growth amid disciplined supply. Through 2030, we see rising activity—led by deepwater—with momentum supported by robust tendering, longer contract durations, and early signs of activity inflecting higher. With no meaningful new supply and limited reactivations, we assume marketed capacity remains tight, pushing utilization toward the mid/high-80% range by 2028—levels historically associated with strong pricing. Against this backdrop, we expect a sustained recovery in dayrates, with high-spec rates trending back toward recent 2023 peak levels.

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ENERGY SERVICES & EQUIPMENT

North America

Industry View

In-Line

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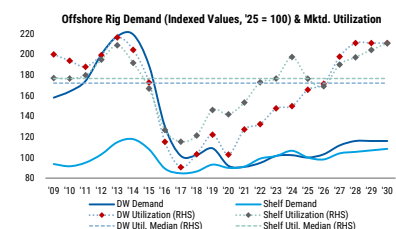
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For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

- **Growing demand.** Looking out through 2030, we see offshore rig counts rising ~12% (deepwater +17%, shelf +10%) and capex increasing ~11% (deepwater +22%, shelf flat), driven by strong momentum in Africa, LatAm ex-Brazil, and APAC. Our bullish outlook—particularly for deepwater—is supported by the highest YTD floater tendering in ~15 years (~75 rig years awarded), longer contract duration and lead times signaling tightening markets, and early signs of floater activity inflecting higher.
- **Disciplined supply.** We assume no incremental supply in 2027-30—no cold-stacked reactivations or newbuild deliveries—while retirements remain limited following a wave of recent scrapping (particularly floaters), driving tighter marketed capacity. With cold-stacked high-spec floaters concentrated among a few disciplined public drillers, we view the risk of a supply-driven reset as low, reinforcing a constructive, sustainable backdrop for contractors.
- **Higher utilization supports pricing.** We expect rising demand combined with disciplined supply to result in very tight offshore drilling market conditions, with high utilization supporting pricing. In our view, marketed rig utilization reaches the mid- to high-80% range by 2028—levels last seen in the early 2010s and historically supportive of robust pricing power. Against this backdrop, we see leading-edge dayrates for high-spec assets recovering toward 2023 peaks within 1–2 years and moving higher thereafter, with 6G+ drillships and semis rising ~20% to ~\$525k and ~\$475k, respectively, by 2028, and high-spec jackups increasing 10–15% to ~\$175k by 2030.

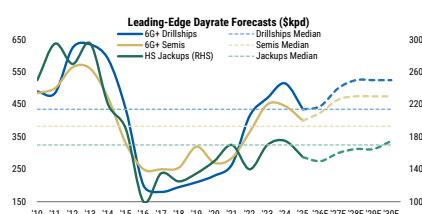
How to Play It: We continue to highlight globally diversified services majors as our preferred way to play the broader OFSE upcycle, including strength in offshore. This includes OW-rated **SLB** as it has relatively higher offshore O&G capex exposure (~25% of revs) and **Top Pick HAL** (~15% revs). Meanwhile, we note that offshore driller pure-play **RIG** (EW) does offer a relatively attractive risk-reward outlook vs. our broader coverage (PT upside – RIG: +13% / Covg: +7%); bull:bear skew – RIG: 1.7x / Covg: 1.2x) and a less demanding valuation on EV/asset value vs. history vs. peers (see [Exhibit 20](#) & [Exhibit 23](#)), though our roughly in-line estimates vs. consensus keeps us EW for now. Finally, among globally diversified offshore-levered stocks in our coverage, we note that **NOV** has the most offshore capex exposure (~40%+ of revs), and while we do see offshore activity upside as a tailwind for NOV earnings, we do not assume any cold stacked rig reactivations or newbuild deliveries in our '27-'30E, which we think keeps NOV stock performance more in line vs. peers.

Exhibit 1: Utilization reaches ~85%+ by '28 in our forecasts, a level that supports strong driller pricing power...



Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 2: ...Pushing leading-edge dayrates for higher-spec rigs back to recent ~'23 peak levels by ~'27-'28.



Source: Rystad Energy, Morgan Stanley Research estimates

An Offshore Upcycle?

An offshore drilling upcycle? As we previously highlighted (see [here](#)), we see a constructive multi-year setup for offshore, driven by steady demand growth amid disciplined supply. Through 2030, we forecast rising rig activity and capex—led by deepwater—with momentum supported by robust tendering, longer contract durations, and early signs of activity inflecting higher. With no meaningful new supply and limited reactivations, marketed capacity remains tight, pushing utilization toward the mid- to high-80% range by 2028—levels historically associated with strong pricing. Against this backdrop, we expect a sustained recovery in dayrates, with high-spec assets trending back toward recent 2023 peak levels.

Demand

Offshore Drilling Demand & Capex: Offshore deepwater development has been widely viewed as a key upstream growth driver over the next several years—a perspective we previously shared, albeit with the caveat that ongoing efficiency gains could ultimately temper the activity and capex required to sustain required production growth. While we continue to expect drilling efficiencies to improve (e.g., higher feet drilled per rig per day), we now believe this dynamic is increasingly outweighed by a tightening oil macro backdrop. Specifically, stronger demand growth and a heightened strategic focus on supply diversification and reserve building are likely to support more robust offshore activity and capital deployment.

Overall, **we see activity growth led by int'l land and offshore deepwater**, with offshore rig counts growing +12% by 2030 (deepwater: +17% / shelf: +10%). Similarly, we see capex growth led by the same supply segments (int'l land, offshore deepwater), with overall capex growth through 2030 for offshore +11% (deepwater: +22% / shelf: +0%).

Regionally, we see the most growth in Africa, LatAm ex-Brazil (e.g., Guyana, Suriname), and APAC. Factors supporting our bullish offshore deepwater drilling demand outlook include:

- ° **(1) YTD floater tendering activity** (~75 rig years awarded) is the highest in ~15 years (see [Exhibit 9](#)).
- ° **(2) Average contract lead time & duration** are above normal levels (slightly for floaters – [Exhibit 40](#), more meaningfully for jackups – [Exhibit 58](#)), which is a sign of tight (or tightening) fundamentals.
- ° **(3) Floater activity is already showing signs of an inflection higher**, with active rigs +7% / +8 rigs vs. late-2025 lows (see [Exhibit 37](#)).
- ° **(4) We do not view our rig demand growth forecasts as particularly aggressive** – we note that in the ~3-4 year period following the 4Q20 pandemic trough, deepwater activity grew ~25% (vs. current MSe '26-'30E: +17%), while shelf activity grew ~35% (vs. current MSe '26-'30E: +10%). Additionally, our peak jackup demand forecast (370 by 2030) is below post-pandemic peak levels (of ~375 in early '24).

Exhibit 3: We see rig counts increasing across global supply segments to support O&G demand growth, supply diversification, and to build strategic reserves. We see the most growth offshore ('30E vs '25 %Δ – OS DW: +17% / OS Shelf: +10% / Global: +13%).

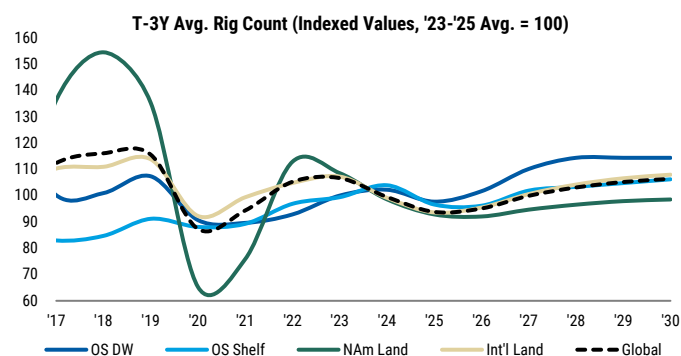


Exhibit 5: We see the most growth in capex per rig (a rough OFSE pricing proxy) in the int'l land space followed by offshore deepwater, though activity and pricing upside is partially offset by drilling efficiency improvements ('30E vs '25 %Δ – OS DW: +4% / OS Shelf: -9% / Global: +5%).

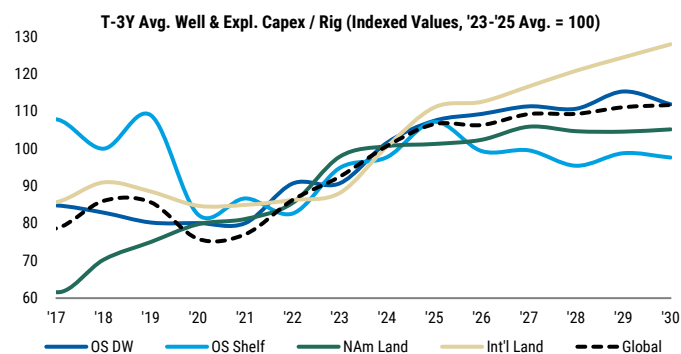


Exhibit 4: Our rig count outlook (led by offshore deepwater) paired with increased drilling efficiencies results in well count growth outpacing rigs ('30E vs '25 %Δ – OS DW: +29% / OS Shelf: +12% / Global: +16%).

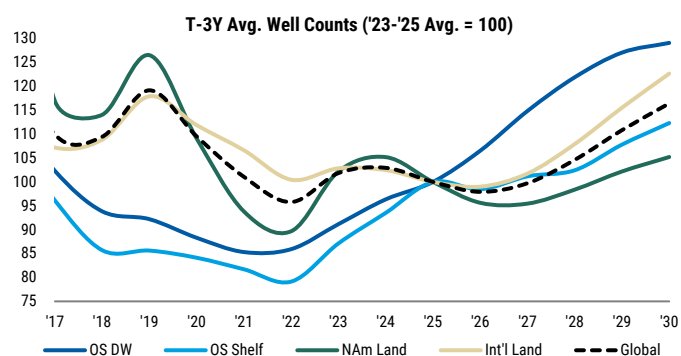


Exhibit 6: Overall, these trends and assumptions translate to near/medium-term well & exploration capex growth (a better proxy for drilling demand relative to total capex, in our view) led by offshore deepwater and int'l land ('30E vs '25 %Δ – OS DW: +22% / OS Shelf: +0% / Global: +19%).

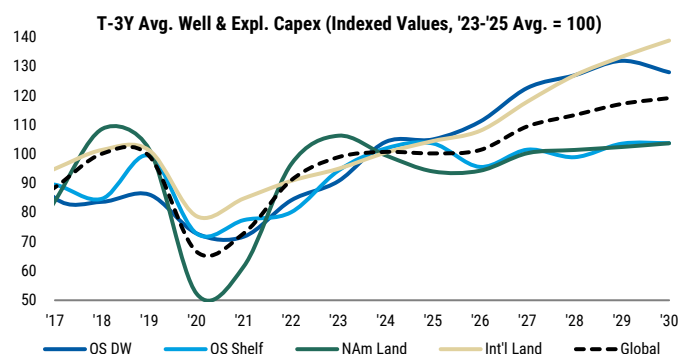


Exhibit 7: Drilling efficiencies are a headwind to service activity and drilling demand, and we see further efficiency improvements ahead across O&G supply sources ('30E vs '25 %Δ – OS DW: +22% / OS Shelf: +26% / Global: +21%).

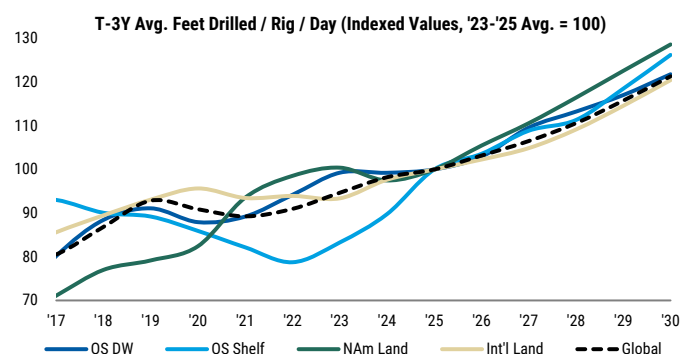


Exhibit 9: Offshore rig tendering activity in the deepwater space has been robust YTD. The ~75 rig years awarded as of late-May is ~70% / ~30 rig years ahead of historical trend and represents the most cumulative rig years awarded in nearly 15 years (since '12) – a strong signal supporting deepwater activity upside for at least the next several years...

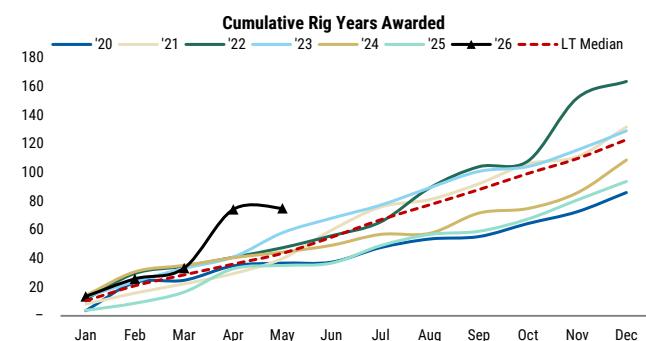


Exhibit 8: However, we expect increasing O&G resource development complexity to keep productivity improvements (e.g., prod'n per rig) ~flat overall in the coming cycle.

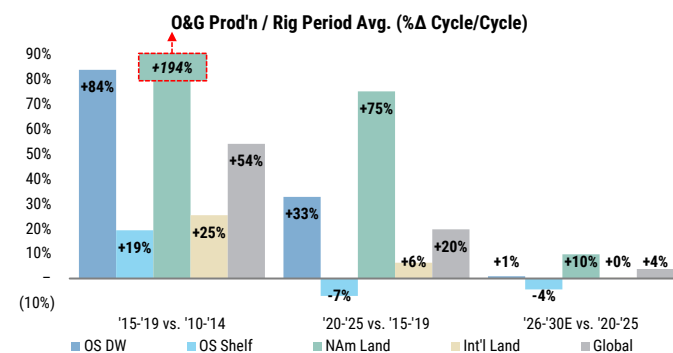


Exhibit 10: ...Shallow water tendering activity has been lackluster – YTD contract awards lag historical median levels by ~70% / ~95 rig years. We attribute this dynamic to Iran conflict-related headwinds weighing on the largest global shelf drilling market (the Middle East), while Mexico (another key shelf market) has yet to see a meaningful rebound in activity or rig fixture awards thus far.

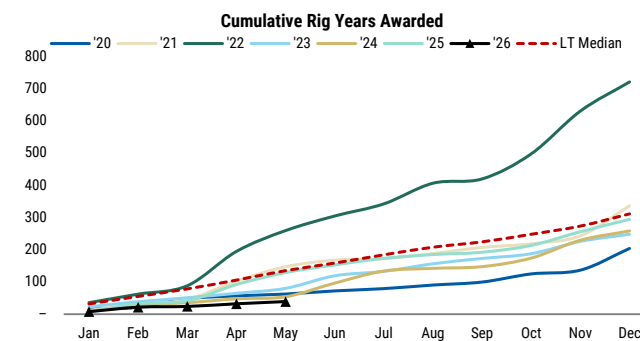
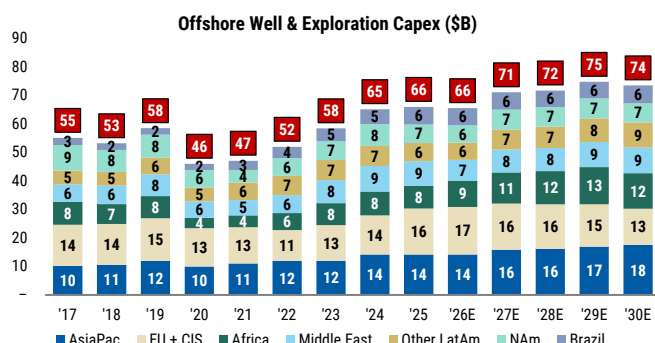
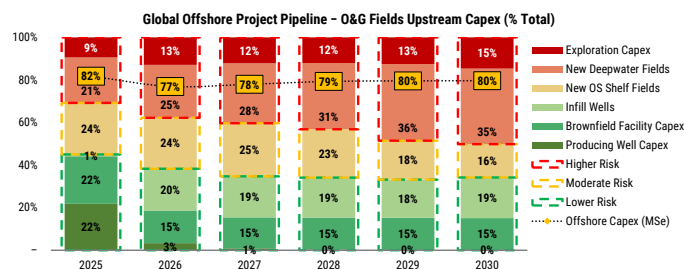


Exhibit 11: Across key offshore regions, we see near/medium term well & exploration capex growth led by Africa, LatAm ex-Brazil (e.g., Guyana, Suriname), and APAC. Overall, we see offshore well capex growing ~13% to a '29 peak (~3.2% CAGR vs. '25).



Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 12: What if we're wrong? Based on the current offshore project pipeline, our capex forecasts imply ~80% of projects move forward within ~5yrs – upside to our forecasts would imply more greenfield project FIDs and exploration activity, while downside would imply activity is isolated to lower risk projects (e.g., producing fields, brownfield / infill drilling).



Source: Rystad Energy, Morgan Stanley Research estimates

Supply

Offshore Drilling Supply: While our offshore rig demand forecasts now call for solid growth, our supply estimates continue to assume generally stable gross capacity, and more importantly, **stable marketed capacity** (i.e., gross supply net of cold stacked rigs) – several key factors supporting this outlook include:

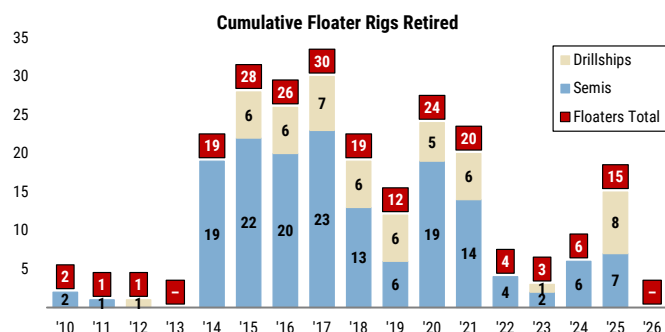
- **(1)** Our '27-'30E do not assume any **cold stacked reactivations or newbuild deliveries** across both floater and jackup rig markets (see [Exhibit 13](#) and [Exhibit 22](#)).
- **(2)** That said, we also do not assume any **floaters rig retirements** and **minimal jackups retired** over that period. This is due in part to recent rig retirements outpacing our estimates, with 2024-26 YTD retirements for floaters ~21 rigs / ~11% of gross supply (see [Floater Supply Trends](#)) and for jackups ~10 rigs / ~2% of gross supply (see [Jackup Supply Trends](#)).
- **(3) Cold stacked floater capacity is fairly concentrated** among public drillers that have remained disciplined for several cycles now (including the ~2022-23 upcycle). Of the ~14 cold stacked 6G+ floaters in the supply stack, 10 of those rigs (or >70%) belong to three drillers (VAL, RIG, SDRL), while for the high-spec 6G+ benign drillship category (the top tier of stacked rigs), there are six cold stacked rigs that belong to just two drillers (RIG, VAL) – see [Floater Cold Stacked Supply Detail](#). Given this backdrop, we think it is less likely that a supply correction will be what breaks the tightening fundamental backdrop we forecast, and therefore **remain optimistic on the sustainability of current conditions for offshore drillers**.

Exhibit 13: Of the 173 total floaters in the total supply stack, ~154 are marketed and ~19 are cold stacked. Our supply estimates continue to assume generally stable gross capacity, and more importantly, stable marketed capacity.

Rig Class	Working	Warm	# of Rigs			Utilization Measures		
			Newb.	Cold	Total	W+W	W+W+N	Total
Harsh (All):								
Pre-6G	5	4	—	—	9	56%	56%	56%
6G+	23	3	—	2	28	88%	88%	82%
Total Harsh	28	7	—	2	37	80%	80%	76%
Benign Semis:								
Pre-6G	13	5	—	2	20	72%	72%	65%
6G+	14	6	—	5	25	70%	70%	56%
Total Semis	27	11	—	7	45	71%	71%	60%
Benign Drillships:								
Pre-6G	3	—	—	3	6	100%	100%	50%
Low-Mid 6G+	25	2	—	1	28	93%	93%	89%
High-Spec 6G+	45	6	—	6	57	88%	88%	79%
Total Drillships	73	8	—	10	91	90%	90%	80%
Total Floaters	128	26	—	19	173	83%	83%	74%

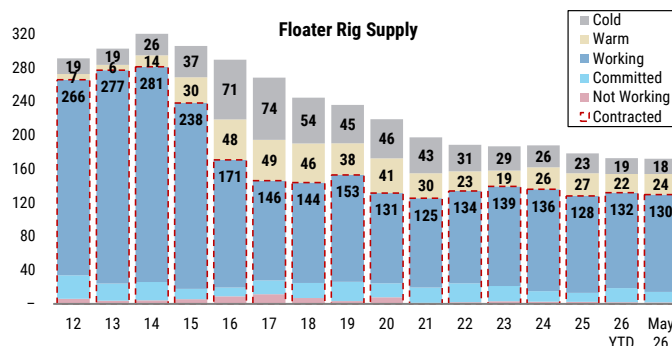
Source: Rystad Energy, Morgan Stanley Research. "Working" rigs include rigs in the yard or moving to location. "Working" defined as rigs in the yard preparing for work, mobilizing to/from location or on location. "Newb." = "Newbuilds. Excludes newbuilds currently held by shipyard without an affiliated rig contractor. "W+W" utilization includes Working and Warm-Stacked rigs. "W+W+N" includes Working, Warm-Stacked, and Newbuild Rigs.

Exhibit 14: Floater retirements accelerated in 2025...



Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 15: ...Tightening offshore supply



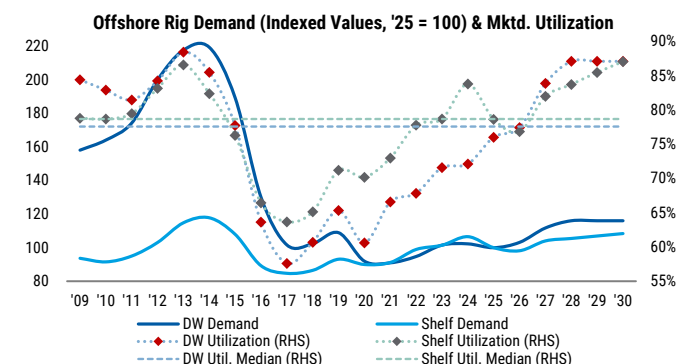
Source: Rystad Energy, Morgan Stanley Research estimates

Utilization & Pricing

Offshore Drilling Utilization & Pricing: We expect rising demand combined with disciplined supply to result in very tight offshore market conditions, with high utilization supporting pricing. Specifically, we expect:

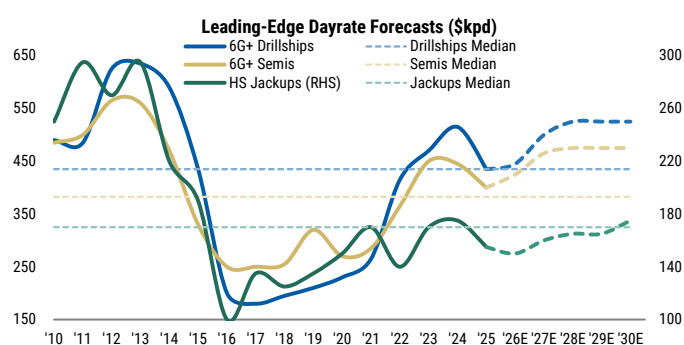
- (1) Offshore rig **marketed utilization approaches the ~mid/high-80% range by ~2028** in our forecasts, which would be the highest levels seen since the early 2010s (~2012-14) – see [Exhibit 16](#). Those utilization levels have historically supported strong pricing power for drillers – which is our view for the coming cycle...
- (2) ...Against that backdrop, we think leading-edge dayrates for higher-spec rigs trend back towards recent ~2023 peak levels within ~1-2yrs, with further upside thereafter. Relative to 2025, we now see leading-edge rates for **6G+ drillships +20% / +\$90kpd (to ~\$525kpd)** by 2028, **6G+ semis climbing +20% / +\$75kpd (to ~\$475kpd)** by 2028, and **high-spec jackups +10-15% / +\$20kpd (to ~\$175kpd)** by 2030 ([Exhibit 17](#)).

Exhibit 16: Utilization reaches ~85%+ by '28 in our forecasts, a level that supports strong driller pricing power...



Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 17: ...Pushing leading-edge dayrates for higher-spec rigs back to recent ~'23 peak levels by ~'27-'28.



Source: Rystad Energy, Morgan Stanley Research estimates

How to Play It

A new cycle for energy spending? While resilient offshore drilling market fundamentals are most explicitly constructive for RIG in our coverage, the current offshore drilling upcycle continues to be a significant tailwind for companies supplying other (non-contract drilling) services and equipment used in the offshore resource development process. We now argue that we're only in the early-innings of a multi-year offshore drilling upcycle, and see room for earnings growth in this space for the next several years. What's more, we think the earnings and FCF potential for offshore-exposed OFSE companies will be sticky across a wide range of commodity price scenarios.

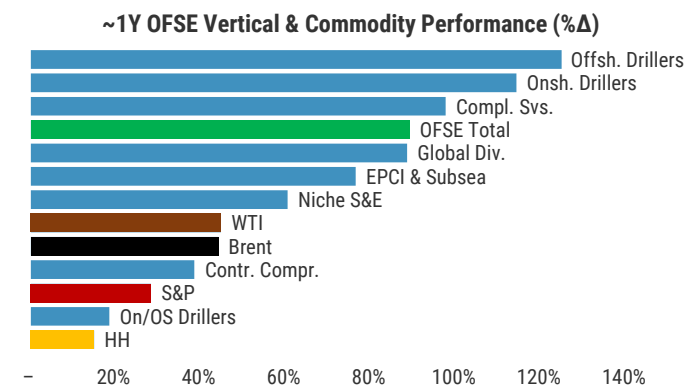
That said, **OFSE stocks have outperformed other energy subsectors** (T-1Y change – OFSE index: +79% / Energy: +39%) and **valuations already reflect fairly robust growth** (NTM EV/EBITDA vs. historical median – OFSE: +25% / Energy: +8%) – see [Exhibit 26](#) and [Exhibit 27](#). Therefore, we maintain our preference for stocks with solid offshore exposure but that also have globally diversified upstream portfolios with growth prospects buoyed by idiosyncratic non-core businesses (e.g., digital, power, new energy). Within our NAM coverage, we continue to highlight globally diversified services majors as our preferred way to play the broader OFSE upcycle, including strength in offshore. This includes OW-rated **SLB** and **HAL** (Top Pick) which have ~15% / ~25% offshore upstream O&G capex exposure, respectively, we estimate – see [Exhibit 21](#).

Other offshore exposed stocks (EW-rated):

- **RIG:** A more direct way to play the offshore upcycle we forecast would be drilling pure-play RIG, and we note that **RIG** does offer a relatively attractive risk-reward outlook vs. our broader coverage – we see **PT upside for RIG of +13%** (vs. covg. +7%) with a **bull:bear skew of ~1.7x** (vs. covg. ~1.2x) – see [Exhibit 20](#). However, RIG's stock outperformance vs. most of our coverage (T-1Y stock change – RIG: +149% / OFSE coverage: +104%), and ~in line estimates vs. consensus through 2028 (MSe vs. cons. '26-'28 EBITDA – RIG: -1% / OFSE coverage: +6%) keeps us EW for now – see [Exhibit 24](#) & [Exhibit 25](#).
- **NOV:** Among globally diversified offshore-levered stocks in our coverage, we note that **NOV has the most offshore capex exposure** (~40%+ of revs) and we do see offshore activity upside as a tailwind for NOV earnings. As the leading global

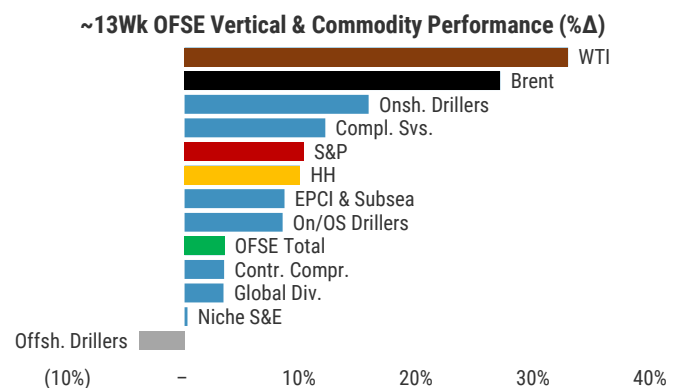
offshore capital equipment supplier, we would expect NOV to outperform in a scenario where offshore OEM investments pick up. That said, our current supply estimates assume minimal cold stacked rig reactivations or newbuilds in the coming cycle – see [Exhibit 22](#).

Exhibit 18: Over the last year, offshore drillers have been the top performing service segment (+125%), outpacing the broader OFSE subsector (+89%), and meaningfully outpacing commodity prices (Brent & WTI Crude Oil: +45% / Nat Gas: +15%)...



Source: FactSet, Bloomberg, Morgan Stanley Research. Note - OFSE Verticals: "OFSE" = Oilfield Services & Equipment, "Onsh. Drillers" = Onshore Drillers, "Compl. Svs." = Completion Services, "Global Div." = Global Diversified OFSE, "Offsh. Drillers" = Offshore Drillers, "Contr. Compr." = Contract Compression, "EPCI" & "Subsea" = EPCI & Subsea Infrastructure, "On/OS Drillers" = Onshore & Offshore Drillers.

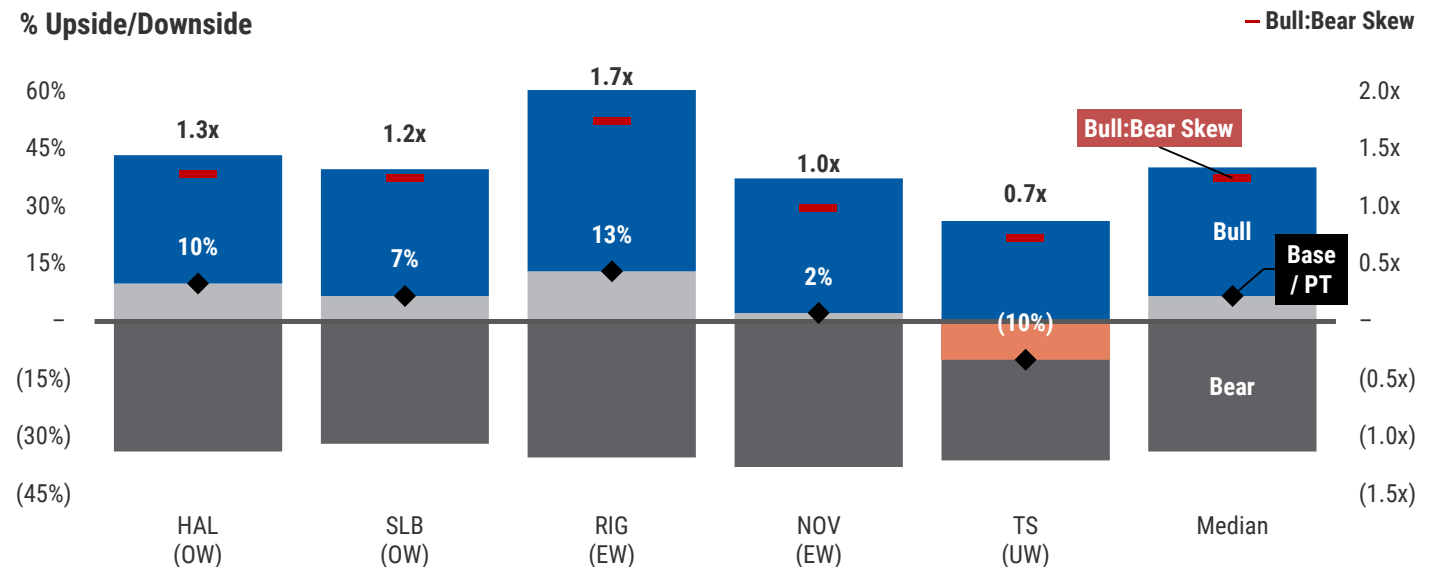
Exhibit 19: ...Yet, in the ~3mo post Iran conflict, offshore drillers are the only service segment group that is (-4%), lagging total OFSE (+3%) and crude oil (up ~30%). Leaders have generally been NAM land-focused (e.g., land drillers +16%, completion services +12%), though EPCI & Subsea cos (+9%) and ME-levered on/offsh. drillers (+8%) and have also outperformed.



Source: FactSet, Bloomberg, Morgan Stanley Research. See additional disclosures & definitions in [Exhibit 18](#).

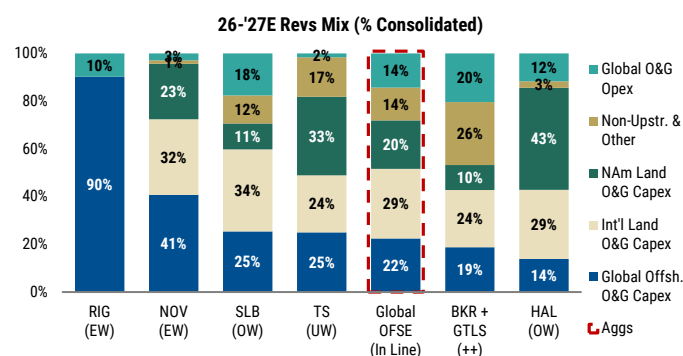
Exhibit 20:

Offshore Exposed OFSE Coverage PT Upside & Risk-Reward Outlook



Source: FactSet, Bloomberg, Company data, Morgan Stanley Research estimates. Ratings: O = Overweight, E = Equal-weight, U = Underweight. ‡ Stock Rating, Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

Exhibit 21: Offshore accounts for 20-25% of revenue for our large-cap OFSE coverage, and we assume offshore earnings (which are generally accretive) represent closer to ~30%+ of earnings for the group.



Source: Company data, Rystad Energy, Morgan Stanley Research estimates

Exhibit 22: While we do see solid offshore activity upside – we model offshore demand +37 rigs by '28 vs. current levels (+16 floaters / +21 jackups), we view current marketed supply as largely sufficient to absorb this demand uptick, and therefore our '27-'30E do not assume any cold stacked rig reactivations or newbuild deliveries (but also see limited rig retirements).

	Offshore Rig S-D Forecasts & Marketed Capacity Chg.						'28 Δ vs. Current
	Current	2026	2027	2028	2029	2030	
Demand	458	455	485	495	500	505	37
Floaters	119	120	130	135	135	135	16
Jackups	339	335	355	360	365	370	21
Floater Supply	154	155	155	155	155	155	1
Newbuild Deliveries		–	–	–	–	–	–
CS Reactivations	1	–	–	–	–	–	1
Retirements	–	–	–	–	–	–	–
Jackup Supply	435	436	433	430	427	425	(5)
Newbuild Deliveries	4	–	–	–	–	–	4
CS Reactivations	–	–	–	–	–	–	–
Retirements	(3)	(3)	(3)	(3)	(3)	(2)	(9)
Current Supply	Total	Mkted.	Cold	Newb.	Warm	Working	Contr.
Floaters	173	154	19	–	26	128	119
Jackups	481	435	46	2	83	350	339
Current Utilization	Total	Mkted.	W+W				
Floaters	69%	77%	77%				
Jackups	70%	78%	78%				

Source: Rystad Energy, Morgan Stanley Research estimates. "Working" includes rigs in the yard preparing for work, mobilizing to/from location, or on location. "Newb." = "Newbuilds ex-newbuilds currently held by shipyard without an affiliated rig contractor. "W+W" = working + warm-stacked rigs, "W+W+N" also includes newbuilds.

Exhibit 23:

Below we summarize one of our preferred metrics for select offshore driller pure-plays – EV / Asset Value (EV/AV). Our asset based valuation analysis indicates that all companies are trading above historical median levels currently, with the group aggregate EV/AV of ~1.08x, ~32% above T-7Y median levels of ~0.82x. Meanwhile, we highlight RIG's current EV/AV (of ~1.24x) which is +16% above its historical median (of ~1.07x), but note that its spread vs. history is lower relative to most other drillers in this analysis – NE is the only peer with a lower spread vs. history (+7%). For more details, see [Morgan Stanley Fleet & Asset Value Estimates](#).

Rig Class	BORR	NE	ODL	SDRL	RIG	VAL	RIG+VAL	Total
Asset Value (\$B)								
Floater Value	–	6.6	2.3	4.0	9.7	4.3	14.0	26.9
Jackup Value	3.3	1.3	–	0.3	–	3.4	3.4	8.4
Total Value	3.3	7.9	2.3	4.3	9.7	7.7	17.4	35.2
Ent. Value	3.6	8.8	3.2	3.2	12.1	7.3	19.4	38.2
Current EV / AV	1.08x	1.10x	1.43x	0.75x	1.24x	0.95x	1.11x	1.08x
T-7Y Median	0.77x	1.03x	0.88x	0.58x	1.07x	0.64x	0.85x	0.82x
Current (Δ%)	41%	7%	63%	30%	16%	48%	31%	32%
Current (ΔAbs)	0.31x	0.08x	0.55x	0.17x	0.17x	0.31x	0.27x	0.26x
# of Rigs								
Floaters	–	25	5	14	27	14	41	85
Jackups	29	5	–	1	–	31	31	66
Total Rigs	29	30	5	15	27	45	72	151
Asset Value / Rig (\$MM)								
Floaters	NM	265	450	287	359	307	341	316
Jackups	115	265	NM	254	NM	111	111	127
Total Rigs	115	265	450	285	359	172	242	233
EV / Rig	124	292	644	215	447	163	269	253

Source: Company Data, FactSet, Rystad Energy, Morgan Stanley Research estimates. See [Morgan Stanley Fleet & Asset Value Estimates](#) for additional notes and disclosures.

Exhibit 24: RIG Estimate Snapshot – Through 2028, our estimates for RIG activity, realized pricing, revenues, EBITDA, and FCF are ~in line vs. consensus, but we see more upside in out-years ('29-'30) relative to expectations.

Transocean (RIG)* \$MM, unless noted	Morgan Stanley Estimates					Consensus Estimates					Mse vs. Consensus				
	2026E	2027E	2028E	2029E	2030E	2026E	2027E	2028E	2029E	2030E	2026E	2027E	2028E	2029E	2030E
Drilling Revenues (\$MM):															
UDW Floaters	2,468	2,705	2,694	2,654	2,615	2,531	2,682	2,722	2,483	2,425	(3%)	1%	(1%)	7%	8%
Harsh Floaters	1,158	1,061	1,038	1,021	965	1,214	1,042	993	945	874	(5%)	2%	5%	8%	10%
Total Drilling Revenues	3,626	3,766	3,732	3,675	3,580	3,745	3,724	3,715	3,428	3,299	(3%)	1%	0%	7%	9%
Avg. Revenue (\$kpd):															
UDW Floaters	464	447	449	448	444	473	446	455	409	391	(2%)	0%	(1%)	10%	14%
Harsh Floaters	462	454	439	439	437	527	464	433	432	403	(12%)	(2%)	1%	2%	8%
Total Avg. Revenue	463	449	447	446	442	462	448	445	414	392	0%	0%	0%	8%	13%
Avg. Active Rigs:															
UDW Floaters	15	17	16	16	16	15	16	16	17	17	(1%)	0%	0%	(3%)	(5%)
Harsh Floaters	7	6	6	6	6	6	6	6	6	6	9%	4%	3%	6%	2%
Total Avg. Active Rigs	21	23	23	23	22	21	23	23	23	23	2%	1%	1%	(0%)	(3%)
Utilization:															
UDW Floaters	73%	83%	82%	81%	81%	73%	82%	82%	83%	85%	(42)	39	9	(211)	(435)
Harsh Floaters	98%	91%	92%	91%	86%	90%	88%	89%	86%	85%	802	360	280	536	154
Total Utilization	79%	85%	85%	84%	82%	78%	84%	84%	84%	85%	177	123	79	(17)	(282)
EBITDA	1,362	1,381	1,325	1,258	1,160	1,345	1,382	1,378	1,151	984	1%	(0%)	(4%)	9%	18%
Free Cash Flow	602	829	794	812	792	695	767	800	658	533	(13%)	8%	(1%)	23%	48%

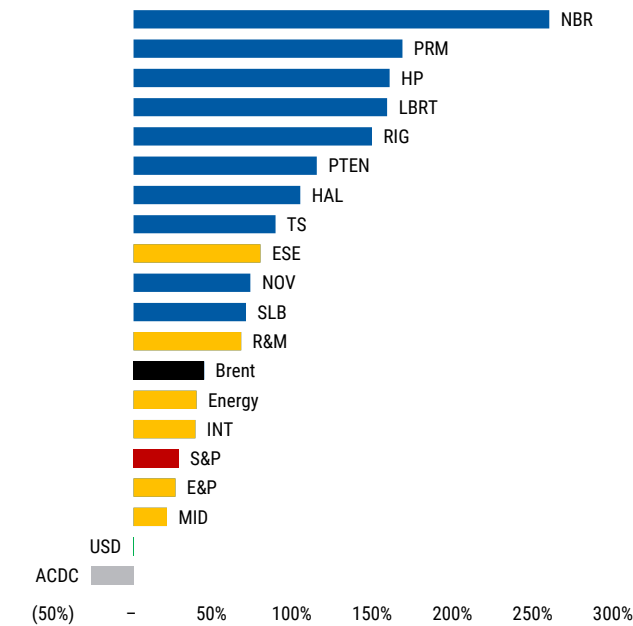
Source: Visible Alpha, Company Data, Morgan Stanley Research estimates

Exhibit 25: Morgan Stanley EBITDA Estimates vs. Consensus

EBITDA (\$MM)																
Segment	Ticker	2Q26			3Q26			2026FY			2027FY			2028FY		
		MS	Cons.	vs Cons	MS	Cons.	vs Cons	MS	Cons.	vs Cons	MS	Cons.	vs Cons	MS	Cons.	vs Cons
Global Services & Equipment	BKR	1,130	1,135	(0%)	1,178	1,192	(1%)	4,775	4,757	0%	5,531	5,414	2%	6,019	5,853	3%
	HAL	984	984	0%	1,094	1,046	5%	4,183	4,085	2%	5,071	4,658	9%	5,351	5,029	6%
	NOV	200	200	(0%)	263	249	5%	949	911	4%	1,177	1,117	5%	1,233	1,237	(0%)
	SLB	1,790	1,781	0%	2,256	2,115	7%	8,353	8,092	3%	10,429	9,499	10%	11,114	10,303	8%
	TS	628	632	(1%)	687	702	(2%)	2,797	2,849	(2%)	3,621	3,150	15%	3,583	3,271	10%
	Global Median			(0%)			5%			2%			9%			6%
SMID Cap Services & Equipment	ACDC*	63	64	(1%)	80	76	6%	276	263	5%	449	370	22%	482	478	1%
	GTLS*	238	187	27%	238	194	22%	884	666	33%	1,028	729	41%	1,111	787	41%
	HP	209	213	(2%)	237	235	1%	843	891	(5%)	1,039	1,017	2%	1,072	1,065	1%
	LBRT*	154	146	5%	147	157	(6%)	533	570	(7%)	820	786	4%	1,336	1,202	11%
	NBR	215	213	1%	249	235	6%	931	902	3%	1,109	1,044	6%	1,224	1,132	8%
	PRM*	98	108	(9%)	236	216	9%	434	427	2%	479	478	0%	530	536	(1%)
	PTEN	205	213	(4%)	233	234	(0%)	850	880	(3%)	1,007	1,005	0%	1,024	1,178	(13%)
	RIG	263	274	(4%)	325	296	10%	1,362	1,345	1%	1,381	1,382	(0%)	1,325	1,378	(4%)
	SMID Median			(1%)			6%			2%			3%			1%
OFSE Covg. Median				(0%)			5%			2%			5%			3%

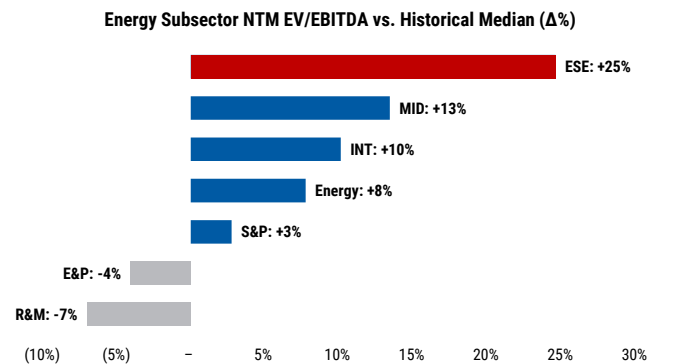
Source: Company Data, FactSet, Visible Alpha, Bloomberg, Morgan Stanley Research estimates. *Note: Estimates reflect company-reported adjusted EBITDA for comparability vs. consensus; however, we use normalized EBITDA for our valuations and target prices.

Exhibit 26: T-1Y Stock Performance



Source: FactSet, MS Research. See additional disclosures & definitions in [Exhibit 27](#).

Exhibit 27: Energy Sub-sector NTM EV/EBITDA vs. Historical Median ($\Delta\%$)



Source: FactSet, Bloomberg, Morgan Stanley Research. Note: Reflects S&P Composite 1500 industry or sub-industry indices, including: "Energy" = US Energy, "INT" = Integrated O&G, "E&P" = O&G Exploration & Production, "MID" = O&G Storage & Transportation, "R&M" = O&G Refining & Marketing, "ESE" = Energy Equipment & Services. "S&P" = S&P 500.

Exhibit 28:

Global Valuation and Rating Summary

Ticker	MS Rating	Recent Price	Price Target	Div. Yield	MC (\$MM)	EV (\$MM)	NTM	EV/EBITDA 2026E	2027E	2028E	NTM	2026E P/E	2027E	2028E	NTM	Unlevered FCF/EV 2026E	2027E	2028E	NTM	Net Debt/EBITDA 2026E	2027E	2028E
Global OFSE																						
SLB	OW	\$54.55	\$57.00	2.2%	81,555	90,952	10.3x	10.9x	8.4x	7.6x	18.5x	20.4x	14.5x	13.1x	4.5%	4.7%	6.4%	7.9%	1.0x	0.9x	0.6x	0.4x
BKR	++	\$63.88	++	1.4%	63,373	64,773	13.0x	13.3x	11.3x	10.2x	29.6x	30.1x	23.6x	20.7x	3.8%	3.4%	4.3%	5.0%	NM	NM	NM	NM
TS	UW	\$60.93	\$53.00	3.1%	32,638	29,805	9.5x	10.0x	7.5x	7.3x	15.3x	15.8x	11.7x	11.3x	5.8%	5.9%	7.6%	8.6%	NM	NM	NM	NM
HAL	OW	\$38.85	\$42.00	1.8%	32,455	37,657	8.5x	8.8x	7.0x	6.4x	15.0x	16.1x	11.7x	10.5x	5.5%	5.3%	6.7%	7.5%	1.1x	1.1x	0.7x	0.6x
NOV	EW	\$19.96	\$20.00	2.0%	7,163	7,851	7.6x	8.0x	6.3x	5.7x	19.0x	21.2x	14.2x	12.4x	5.6%	5.4%	7.1%	8.4%	0.5x	0.3x	0.2x	0.0x
Global Median							9.5x	10.0x	7.5x	7.3x	18.5x	20.4x	14.2x	12.4x	5.5%	5.3%	6.7%	7.9%	1.0x	0.9x	0.6x	0.4x
SMID OFSE																						
GTLS	++	\$207.82	++	—	9,948	13,644	14.6x	15.8x	13.1x	11.6x	22.3x	27.4x	19.3x	17.1x	2.3%	1.0%	5.4%	6.3%	3.7x	3.9x	2.8x	2.0x
RIG	EW	\$6.19	\$7.00	—	6,912	12,060	9.3x	8.8x	8.1x	7.8x	32.9x	27.5x	21.5x	21.5x	8.2%	8.9%	10.1%	10.1%	3.5x	3.4x	2.7x	2.2x
PRM	OW	\$32.28	\$40.00	—	5,266	7,134	17.6x	17.9x	16.2x	14.2x	26.5x	26.7x	24.4x	22.1x	2.9%	3.3%	3.5%	4.4%	2.9x	2.6x	2.2x	1.6x
LBRT	OW	\$29.26	\$36.00	1.2%	4,775	5,640	12.5x	12.3x	10.7x	7.1x	NM	NM	NM	71.1x	NM	NM	NM	NM	3.6x	2.6x	4.6x	3.4x
PTEN	EW	\$11.21	\$10.00	3.6%	4,256	5,146	5.6x	5.9x	4.8x	4.4x	NM	NM	31.7x	20.3x	8.5%	6.4%	8.0%	9.1%	0.8x	0.9x	0.6x	0.5x
HP	UW	\$38.15	\$39.00	2.7%	3,812	5,631	5.6x	6.4x	4.9x	4.4x	36.0x	NM	20.8x	14.3x	6.4%	5.7%	9.0%	10.1%	1.4x	1.7x	1.0x	0.8x
NBR	OW	\$92.63	\$115.00	—	1,371	3,861	3.9x	4.2x	3.5x	3.1x	40.4x	NM	12.7x	7.9x	4.5%	2.6%	6.9%	8.4%	2.1x	2.2x	1.8x	1.4x
ACDC	UW	\$6.11	\$6.00	—	1,105	2,304	7.1x	8.5x	4.8x	4.1x	NM	NM	NM	17.2x	5.6%	3.8%	11.8%	12.0%	3.3x	4.0x	2.0x	1.4x
SMID Median							8.2x	8.6x	6.5x	5.8x	32.9x	27.4x	21.1x	18.8x	5.6%	3.8%	8.0%	9.1%	3.1x	2.6x	2.1x	1.5x

Source: FactSet, Bloomberg, Company data, Morgan Stanley Research estimates. Ratings: O = Overweight, E = Equal-weight, U = Underweight. ‡ Stock Rating, Price Target, or Estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

Offshore Supply-Demand Forecasts

Our offshore macro forecasts are intact as we recently updated our estimates (post-Iran conflict) here – [1Q26 Earnings Preview - Looking Beyond the Middle East Disruption \(15 Apr 2026\)](#). Overall, offshore driller commentary through 1Q26 earnings season generally supported our outlook.

Exhibit 29: Floater Supply-Demand Model

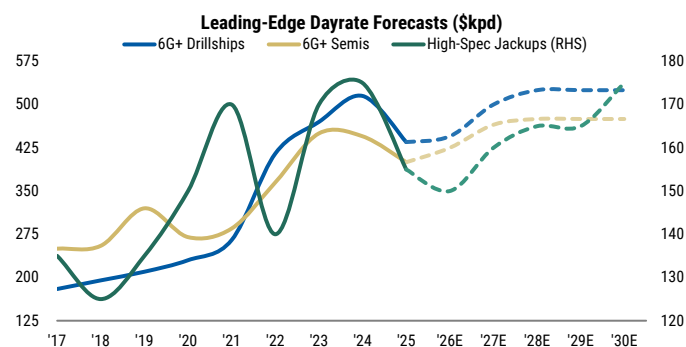
Morgan Stanley Floater Supply-Demand Forecast												
Region	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Africa	17	7	9	13	17	17	13	15	19	21	23	22
Asia Pac	30	25	22	21	20	22	20	23	28	30	30	32
Brazil	14	17	20	20	24	30	33	32	32	31	30	33
US GoM	21	18	16	20	21	21	20	16	16	16	16	15
W. Europe	26	22	19	17	19	17	17	19	18	19	17	13
Other	18	18	19	19	16	13	14	15	17	18	19	20
Total Demand	127	107	106	110	118	119	116	120	130	135	135	135
Marketed Supply	194	176	159	162	165	165	153	155	155	155	155	155
Utilization	65%	61%	67%	68%	72%	72%	76%	77%	84%	87%	87%	87%
YoY Change	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Africa	11%	(58%)	25%	45%	30%	(4%)	(25%)	19%	27%	11%	10%	(4%)
Asia Pac	25%	(16%)	(11%)	(7%)	(3%)	10%	(11%)	17%	22%	7%	–	7%
Brazil	(25%)	22%	17%	(0%)	19%	23%	12%	(3%)	–	(3%)	(3%)	10%
US GoM	0%	(17%)	(11%)	27%	6%	(1%)	(5%)	(19%)	–	–	–	(6%)
W. Europe	13%	(18%)	(11%)	(11%)	12%	(11%)	0%	11%	(5%)	6%	(11%)	(24%)
Other	11%	2%	5%	(1%)	(14%)	(24%)	12%	7%	13%	6%	6%	5%
Total Demand	6%	(16%)	(1%)	4%	7%	1%	(2%)	3%	8%	4%	–	–
Marketed Supply	(1%)	(9%)	(10%)	2%	2%	–	(7%)	1%	–	–	–	–
Utilization (Δ in b.p.)	463	(473)	598	126	375	53	392	140	645	323	–	–

Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 30: Jackup Supply-Demand Model

Morgan Stanley Jackup Supply-Demand Forecast												
Region	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Africa	29	20	18	24	23	23	26	30	25	25	25	25
Asia Pac	102	116	112	123	119	124	129	130	138	141	142	144
GoM (US + Mex)	34	33	36	37	38	35	22	20	23	24	25	25
Middle East	106	104	105	113	137	148	128	115	130	135	140	145
W. Europe	30	23	30	28	23	24	23	23	24	21	20	17
Other	17	12	10	12	8	10	13	17	15	14	13	14
Total Demand	318	307	311	338	346	364	341	335	355	360	365	370
Marketed Supply	446	437	426	434	440	434	434	436	433	430	427	425
Utilization	71%	70%	73%	78%	79%	84%	79%	77%	82%	84%	85%	87%
YoY Change	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
Africa	28%	(30%)	(10%)	35%	(7%)	(0%)	15%	16%	(17%)	–	–	–
Asia Pac	6%	13%	(3%)	10%	(4%)	4%	4%	1%	6%	2%	1%	1%
GoM (US + Mex)	12%	(4%)	10%	3%	2%	(7%)	(36%)	(11%)	15%	4%	4%	–
Middle East	5%	(2%)	1%	8%	21%	8%	(13%)	(10%)	13%	4%	4%	4%
W. Europe	12%	(23%)	29%	(7%)	(18%)	5%	(3%)	(1%)	4%	(13%)	(5%)	(15%)
Other	(9%)	(31%)	(13%)	17%	(37%)	35%	25%	32%	(12%)	(7%)	(7%)	8%
Total Demand	8%	(3%)	1%	9%	3%	5%	(6%)	(2%)	6%	1%	1%	1%
Marketed Supply	(1%)	(2%)	(3%)	2%	1%	(1%)	–	0%	(1%)	(1%)	(1%)	(0%)
Utilization (Δ in b.p.)	605	(102)	282	480	90	511	(517)	(179)	515	173	176	158

Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 31: Leading-Edge Dayrate Forecasts

Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 32: Leading Edge Dayrate Forecast Table

Leading-Edge Dayrates (\$kpd) – Current Estimate						
Rig Class-Type	2025	2026	2027	2028	2029	2030
6G+ Drillships	435	445	500	525	525	525
6G+ Semis	400	425	465	475	475	475
High-Spec Jackups	155	150	160	165	165	175

Current Estimate YoY Change (\$kpd)						
Rig Class-Type	2025	2026	2027	2028	2029	2030
6G+ Drillships	(80)	10	55	25	–	–
6G+ Semis	(45)	25	40	10	–	–
High-Spec Jackups	(20)	(5)	10	5	–	10

Current Estimate YoY Change (%)						
Rig Class-Type	2025	2026	2027	2028	2029	2030
6G+ Drillships	(16%)	2%	12%	5%	–	–
6G+ Semis	(10%)	6%	9%	2%	–	–
High-Spec Jackups	(11%)	(3%)	7%	3%	–	6%

Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 33:

Offshore Rig Utilization & Dayrate Macro Deck

Utilization – Current Estimates								
Rig Type	Environ.	Rig Class	2025	2026	2027	2028	2029	2030
Floaters	Benign	Pre-6G	65%	65%	65%	65%	65%	65%
		6G+	80%	80%	90%	95%	95%	95%
	Harsh	Pre-6G	45%	55%	45%	55%	45%	35%
		6G+	80%	85%	90%	90%	90%	85%
Jackups		Standard	75%	70%	70%	75%	75%	75%
		Premium	85%	80%	80%	80%	80%	80%
		High-Spec	80%	80%	90%	90%	90%	95%

Benchmark Dayrate (\$kpd) – Current Estimates								
Rig Type	Environ.	Rig Class	2025	2026	2027	2028	2029	2030
Floaters	Benign	Pre-6G	225	225	225	225	225	225
		6G+	350	375	425	450	450	450
	Harsh	Pre-6G	200	200	200	200	200	200
		6G+	350	400	425	450	450	450
Jackups		Standard	70	70	70	70	70	70
		Premium	90	90	90	90	90	90
		High-Spec	120	120	130	135	140	150

Source: Rystad Energy, Morgan Stanley Research estimates

Morgan Stanley Fleet & Asset Value Estimates

Exhibit 34: Offshore Drilling Fleet Overview*

Type	Envir.	Rig Class	BORR	NE	ODL	SDRL	RIG	VAL	RIG+VAL	Total
Floaters	Benign	Pre-6G	—	—	—	—	—	—	—	—
		Low-Grade 6G+	—	2	—	—	—	1	1	3
		Mid-Grade 6G+	—	5	—	5	6	2	8	18
		High-Spec 6G+	—	14	—	7	14	11	25	46
	Harsh	Pre-6G	—	3	—	—	—	—	—	3
		6G+	—	1	5	2	7	—	7	15
Jackups	Benign	Standard	—	—	—	—	—	—	—	—
		Premium	3	—	—	—	—	11	11	14
		High-Spec	17	—	—	—	—	8	8	25
	Harsh	Standard	—	—	—	—	—	2	2	2
		Premium	2	—	—	—	—	—	—	2
		High-Spec	7	—	—	—	—	8	8	15
		Super-Spec	—	5	—	1	—	2	2	8
Total Floaters			—	25	5	14	27	14	41	85
Total Jackups			29	5	—	1	—	31	31	66
Total Rigs			29	30	5	15	27	45	72	151

Source: Rystad Energy, Morgan Stanley Research

Exhibit 35: Offshore Drilling Asset Value Estimates**

Type	Envir.	Rig Class	BORR	NE	ODL	SDRL	RIG	VAL	RIG+VAL	\$MM/Rig
Floaters	Benign	Pre-6G	—	—	—	—	—	—	—	25
		Low-Grade 6G+	—	300	—	—	—	150	150	150
		Mid-Grade 6G+	—	1,000	—	1,000	1,200	400	1,600	200
		High-Spec 6G+	—	4,900	—	2,450	4,900	3,850	8,750	350
	Harsh	Pre-6G	—	225	—	—	—	—	—	75
		6G+	—	450	2,250	900	3,150	—	3,150	450
Jackups	Benign	Standard	—	—	—	—	—	—	—	10
		Premium	240	—	—	—	—	880	880	80
		High-Spec	1,870	—	—	—	—	880	880	110
	Harsh	Standard	—	—	—	—	—	20	20	10
		Premium	200	—	—	—	—	—	—	100
		High-Spec	1,050	—	—	—	—	1,200	1,200	150
		Super-Spec	—	1,375	—	275	—	550	550	275
Capex, React. Cost & Other**			(20)	(310)	—	(350)	450	(195)	255	(425)
Floater Asset Value			—	6,875	2,250	4,350	9,250	4,400	13,650	27,125
Jackup Asset Value			3,360	1,375	—	275	—	3,530	3,530	8,540
Total Asset Value			3,340	7,940	2,250	4,275	9,700	7,735	17,435	35,240
Enterprise Value			3,601	8,761	3,218	3,227	12,060	7,332	19,391	38,197
EV / Asset Value			1.08x	1.10x	1.43x	0.75x	1.24x	0.95x	1.11x	1.08x
T-7Y Median EV / Asset Value*			0.77x	1.03x	0.88x	0.58x	1.07x	0.64x	0.85x	0.82x
Current vs. T-7Y Median (Δ%)			41%	7%	63%	30%	16%	48%	31%	32%
Current vs. T-7Y Median (ΔAbsolute)			0.31x	0.08x	0.55x	0.17x	0.17x	0.31x	0.27x	0.26x

Source: Rystad Energy, FactSet, Bloomberg, Company Filings, Morgan Stanley Research estimates. *Note: T-7Y Median EV / Asset Value reflects company EV and asset value estimates from past Offshore Drilling Digest editions published on: 6/1/26, 10/3/24, 3/12/24, 7/6/23, 1/4/23, 7/13/22, 4/13/21, 10/14/20, 7/7/20, 4/6/20, 1/13/20, 10/7/19, 7/15/19, 4/16/19.

****Note on Asset Value Assumptions / Calculations:** Given the frequently complex capital structures of offshore drillers and valuing companies in this market, we would encourage investors to view this analysis as a tool that could be a starting point for assessing the relative fair value of offshore drillers vs. the value that the market is assigning. We detail the 'Capex, Reactivation Cost & Other' adjustments that we make in our total asset value

calculations so that investors can potentially make further adjustments or changes to our assumptions to improve the comparability of these calculations. The adjustments made in the above total asset value calculations include:

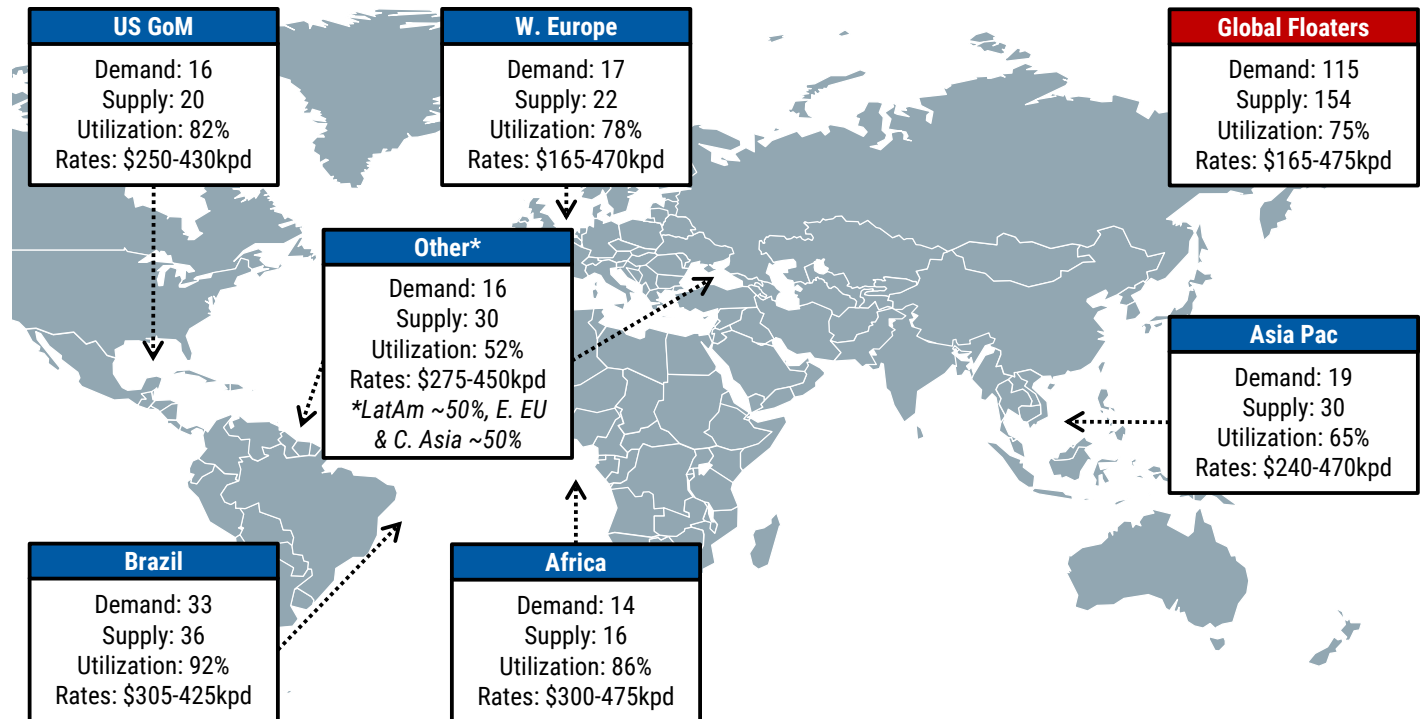
- **RIG:** We add a total of \$750MM to RIG's asset value to account for its 8G Deepwater Atlas and Titan drillships which we believe the market capitalizes above the value assigned to other high-spec 6G+ drillships. We exclude the Ocean Rig Olympia, which contributes to Global Sea Mineral Resources' offshore precious minerals mining venture. Finally, we burden our asset value assumption with ~\$300MM of unstacking costs, which better reflects the fair value of these rigs with currently contracted rigs, in our view.
- **BORR:** We burden our asset value assumption with ~\$20MM of unstacking costs. Our assumptions do not include any adjustment related to M&A that has been announced but not yet consummated.
- **NE:** We burden our asset value assumption with ~\$310MM of unstacking costs. Noble (NE) is pro forma for Diamond Offshore (DO) and Maersk Drilling (DRLCO-DK) in periods prior to each acquisition closing.
- **SDRL:** We burden our asset value assumption with ~\$350MM of unstacking costs. Note: We began tracking SDRL EV / Asset Value first in 2024, so SDRL's historical median EV / Asset Value reflects the average spread for periods where we published SDRL estimates (6/1/26, 10/3/24, 3/12/24) relative to its closest comps (NE, RIG), and applies that same spread (in %-terms) to NE & RIG long-term median to for what we view as a more comparable analysis of current EV/AV vs. historical median levels.
- **VAL:** We burden our asset value assumption with ~\$675MM of unstacking costs, and also add \$480MM for the book value of VAL's investment in ARO and its ARO notes receivable.

Please note BORR, NE, ODL, SDRL and VAL are not covered by Morgan Stanley Equity Research.

Floater Macro Trends

Floater Utilization & Dayrate Snapshot

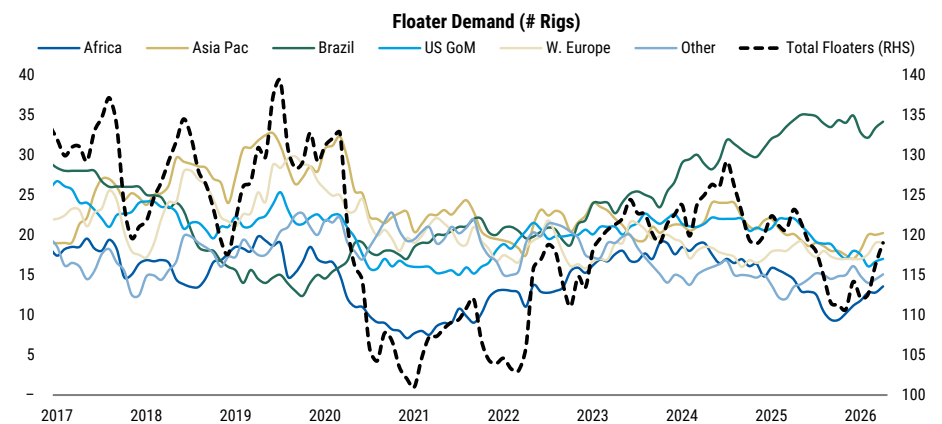
Exhibit 36: Global Floater Utilization & Dayrate Snapshot



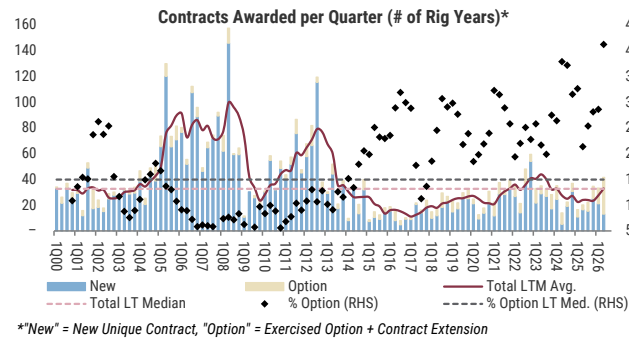
Source: Rystad Energy, Morgan Stanley Research estimates. Note: "Demand" = current contracted & working rigs, "Supply" = marketed supply, i.e., excluding cold stacked rigs, "Utilization" = current marked utilization, "Rates" = dayrate range (min/max) in region over prior ~1-2yrs.

Floater Contracting Trends

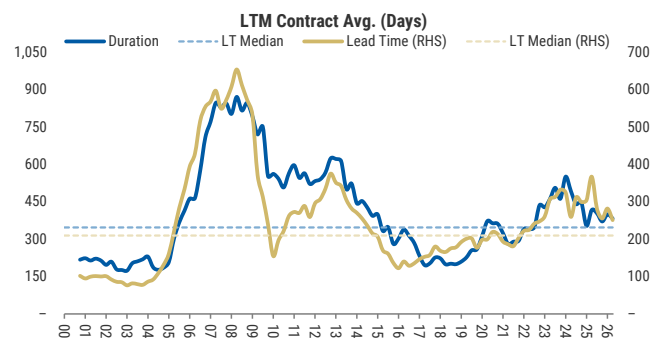
Exhibit 37: Floater Demand



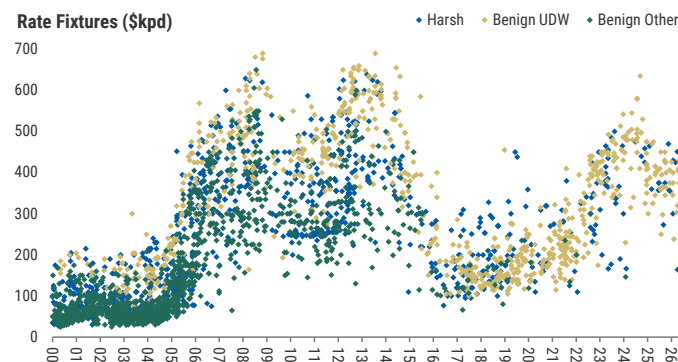
Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 38: Rig Years Contracted (Quarterly)

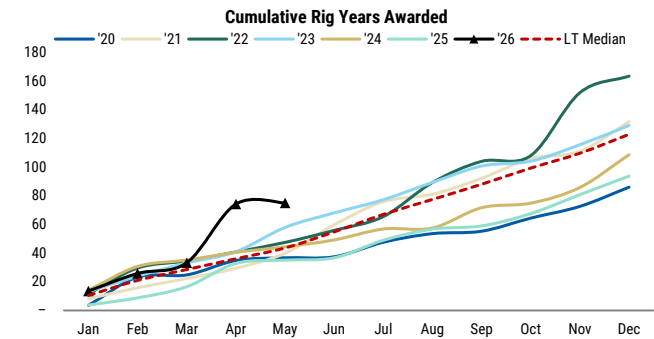
Source: Rystad Energy, Morgan Stanley Research. Note: Includes new unique contracts, contract extensions and exercised options.

Exhibit 40: Contract Lead Time & Duration

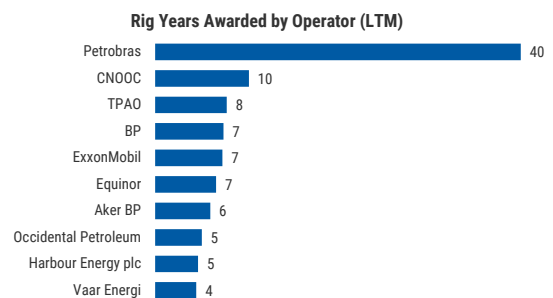
Source: Rystad Energy, Morgan Stanley Research

Exhibit 42: Floater Fixtures by Environment

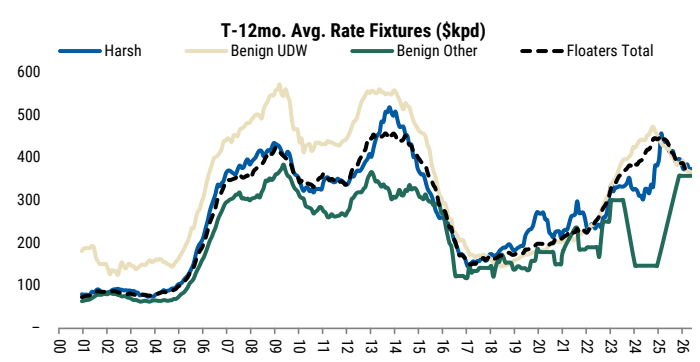
Source: Rystad Energy, Morgan Stanley Research

Exhibit 39: Cumulative Contracting Activity per Year

Source: Rystad Energy, Morgan Stanley Research. Note: Includes new unique contracts, contract extensions and exercised options.

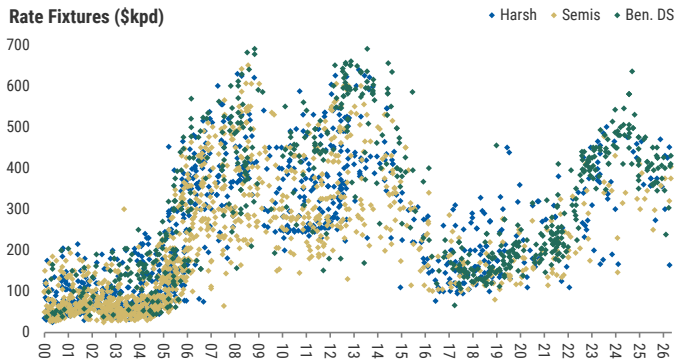
Exhibit 41: Rig Years Contracted by Operator

Source: Rystad Energy, Morgan Stanley Research. Note: Includes new unique contracts, contract extensions and exercised options.

Exhibit 43: T-12mo. Avg. Floater Fixtures by Environment

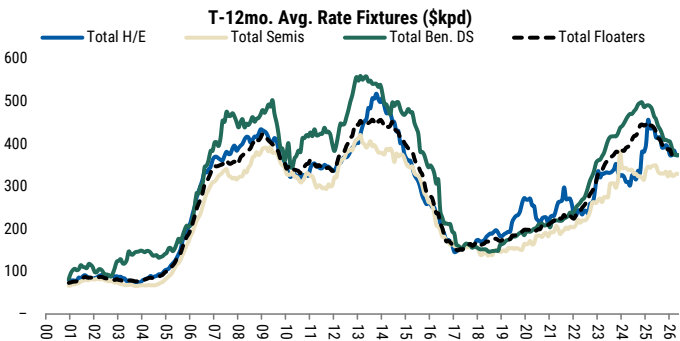
Source: Rystad Energy, Morgan Stanley Research

Exhibit 44: Floater Fixtures by Environment & Rig Type



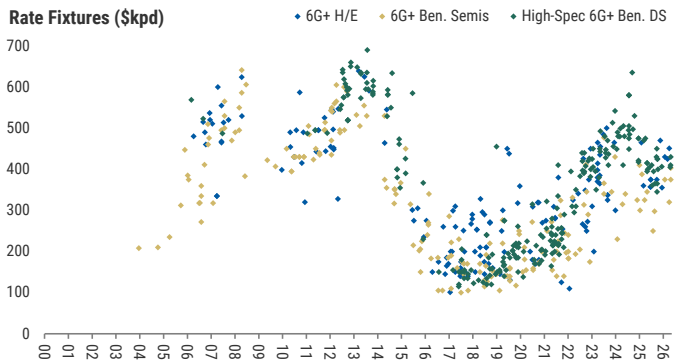
Source: Rystad Energy, Morgan Stanley Research

Exhibit 45: T-12mo. Avg. Floater Fixtures by Environment & Rig Type



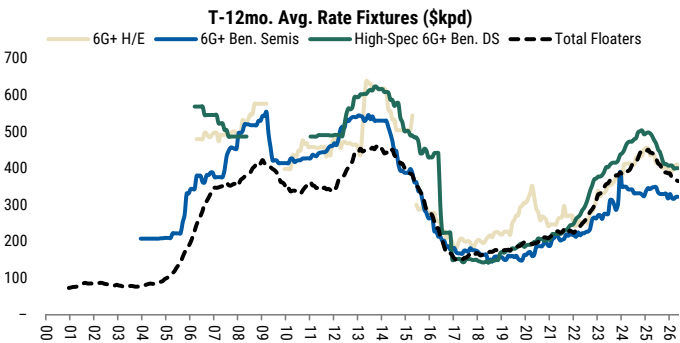
Source: Rystad Energy, Morgan Stanley Research

Exhibit 46: Top Tier Floater Fixtures



Source: Rystad Energy, Morgan Stanley Research

Exhibit 47: T-12mo. Avg. Top Tier Floater Fixtures



Source: Rystad Energy, Morgan Stanley Research

Exhibit 48:

Latest Floater Contract Fixtures*

Fixture Date	Operator	Country	Rig Owner	Rig Name	Rig Type	Days	Rate (\$kpd)
4/26/2026	ExxonMobil	Guyana	Noble Drilling	Noble Developer	Semisubmersible	50	375
4/26/2026	Woodside	Australia	Noble Drilling	Noble Deliverer	Semisubmersible	300	403
4/26/2026	Planet One	Ghana	Noble Drilling	Noble Venturer	Drillship	45	430
4/22/2026	Harbour Energy plc	United States	Seadrill Limited	West Vela	Drillship	273	410
4/16/2026	Chevron	Israel	Transocean	Deepwater Asgard	Drillship	390	405
4/7/2026	Harbour Energy plc	United Kingdom	Dolphin Drilling AS	Paul B Loyd Jr	Semisubmersible	913	164
4/2/2026	Petrobras	Brazil	Ventura Offshore	SSV Victoria	Semisubmersible	1,455	320
4/2/2026	Vaar Energi	Norway	Transocean	Transocean Barents	Semisubmersible	1,095	451
3/24/2026	Petrobras	Brazil	Foresea	ODN I	Drillship	1,443	303
3/6/2026	Suncor Energy	Canada	SFL Deepwater Ltd	Hercules	Semisubmersible	400	425
2/10/2026	ONGC (India)	India	Vantage Drilling	Platinum Explorer	Drillship	1,095	238
1/26/2026	Aker BP	Norway	Noble Drilling	Noble GreatWhite	Semisubmersible	1,095	430
1/26/2026	BP	Trinidad and Tobago	Noble Drilling	Noble Developer	Semisubmersible	240	375
1/26/2026	ExxonMobil	Nigeria	Noble Drilling	Noble Gerry de Souza	Drillship	730	400
1/26/2026	Navitas Petroleum	Falkland Islands	Noble Drilling	Noble Endeavor	Semisubmersible	516	300
1/21/2026	PTTEP	Malaysia	Seadrill Limited	West Capella	Drillship	440	345
1/5/2026	BP	Brazil	Transocean	Deepwater Mykonos	Drillship	302	426
12/11/2025	Shell	Brazil	Valaris plc	Valaris DS-8	Drillship	800	375
12/11/2025	Shell	Namibia	Northern Ocean Ltd	Deepsea Mira	Semisubmersible	43	356
12/8/2025	Chevron	Australia	Transocean	Deepwater Skyros	Drillship	320	406
11/26/2025	Karoon Energy	Brazil	Constellation	Atlantic Star	Semisubmersible	70	357
11/16/2025	Equinor	Norway	Odjell Drilling	Deepsea Aberdeen	Semisubmersible	927	470
10/13/2025	BP	Egypt	Valaris plc	Valaris DS-12	Drillship	350	400
10/3/2025	BP	United States	Noble Drilling	Noble BlackHornet	Drillship	730	425
10/3/2025	BP	United States	Noble Drilling	Noble BlackLion	Drillship	730	425
10/1/2025	TotalEnergies	Angola	Sonangol	Quenguela	Drillship	210	365
9/26/2025	Eni	Indonesia	Deep Value Driller	Deep Value Driller	Drillship	134	345
9/25/2025	DNO International	Norway	Beacon Holdings Group Ltd.	Deepsea Yantai	Semisubmersible	69	375
9/25/2025	AMNI	Ghana	Noble Drilling	Noble Venturer	Drillship	28	450
9/18/2025	Walter	United States	Seadrill Limited	West Vela	Drillship	78	430
9/2/2025	Repsol	Spain	Dolphin Drilling AS	Borgland Dolphin	Semisubmersible	220	273
8/25/2025	Azule Energy	Angola	Sonangol	Libongos	Drillship	518	365
8/25/2025	Sonangol	Angola	Seadrill Limited	West Gemini	Drillship	277	365
8/19/2025	Eni	Libya	Saipem	Scarabeo 9	Semisubmersible	202	298
8/6/2025	Talos Energy Offshore	United States	Seadrill Limited	West Vela	Drillship	81	395
7/28/2025	Murphy Oil	United States	Seadrill Limited	Sevan Louisiana	Semisubmersible	107	250
7/24/2025	Petrobrel (NOC)	Italy	Saipem	Saipem 10000	Drillship	219	358
7/22/2025	OMV	Bulgaria	Noble Drilling	Noble Globetrotter I	Drillship	111	450
7/16/2025	Murphy Oil	Cote d'Ivoire	Transocean	Deepwater Skyros	Drillship	175	361
7/6/2025	Occidental Petroleum	United States	Valaris plc	Valaris DS-18	Drillship	914	410
6/23/2025	DNO International	Norway	Beacon Holdings Group Ltd.	Deepsea Yantai	Semisubmersible	31	375
6/23/2025	Wellesley Petroleum	Norway	Beacon Holdings Group Ltd.	Deepsea Yantai	Semisubmersible	56	375
6/19/2025	Rhino Resources	Namibia	Northern Ocean Ltd	Deepsea Mira	Semisubmersible	63	357
6/19/2025	BW Energy	Namibia	Northern Ocean Ltd	Deepsea Mira	Semisubmersible	72	357
6/4/2025	TotalEnergies	Papua New Guinea	Noble Drilling	Noble Viking	Drillship	47	405
5/5/2025	CNRL	Cote d'Ivoire	Valaris plc	Valaris DS-15	Drillship	249	400
4/28/2025	Shell	United States	Noble Drilling	Noble Venturer	Drillship	1,460	415
4/28/2025	Shell	United States	Noble Drilling	Noble Voyager	Drillship	1,461	415
4/28/2025	TotalEnergies	Suriname	Noble Drilling	Noble Discoverer	Semisubmersible	1,060	345
4/28/2025	TotalEnergies	Suriname	Noble Drilling	Noble Valiant	Drillship	1,060	395
3/31/2025	Shell	Nigeria	Valaris plc	Valaris DS-10	Drillship	732	475
3/20/2025	POSCO International	Myanmar	CIMC Raffles	Bluewhale I	Semisubmersible	245	325
3/10/2025	Shell	Brunei	Noble Drilling	Noble Viking	Drillship	46	470
3/3/2025	OKEA	Norway	Beacon Holdings Group Ltd.	Deepsea Yantai	Semisubmersible	182	360
2/6/2025	Shell	Trinidad and Tobago	Noble Drilling	Noble Developer	Semisubmersible	116	388
1/29/2025	Equinor	Norway	Odjell Drilling	Deepsea Atlantic	Semisubmersible	359	465
1/10/2025	Walter	United States	Seadrill Limited	Sevan Louisiana	Semisubmersible	141	300

Source: Rystad Energy, Morgan Stanley Research. Contracts over 1 year are in bold. *Note: Excludes contracts where rate information is not available.

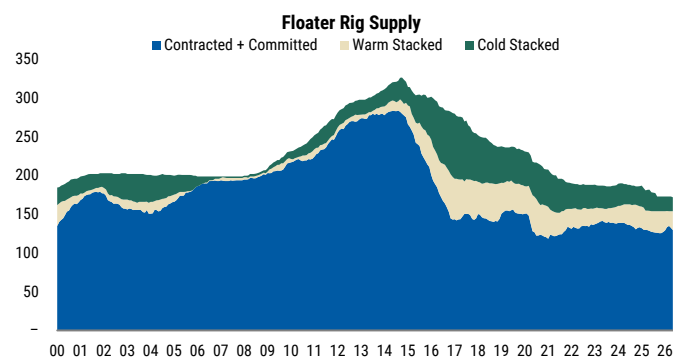
Floater Supply Trends

Exhibit 49: Floater Utilization Snapshot

Rig Class	Working	Warm	# of Rigs			Utilization Measures		
			Newb.	Cold	Total	W+W	W+W+N	Total
Harsh (All):								
Pre-6G	5	4	—	—	9	56%	56%	56%
6G+	23	3	—	2	28	88%	88%	82%
Total Harsh	28	7	—	2	37	80%	80%	76%
Benign Semis:								
Pre-6G	13	5	—	2	20	72%	72%	65%
6G+	14	6	—	5	25	70%	70%	56%
Total Semis	27	11	—	7	45	71%	71%	60%
Benign Drillships:								
Pre-6G	3	—	—	3	6	100%	100%	50%
Low-Mid 6G+	25	2	—	1	28	93%	93%	89%
High-Spec 6G+	45	6	—	6	57	88%	88%	79%
Total Drillships	73	8	—	10	91	90%	90%	80%
Total Floaters	128	26	—	19	173	83%	83%	74%

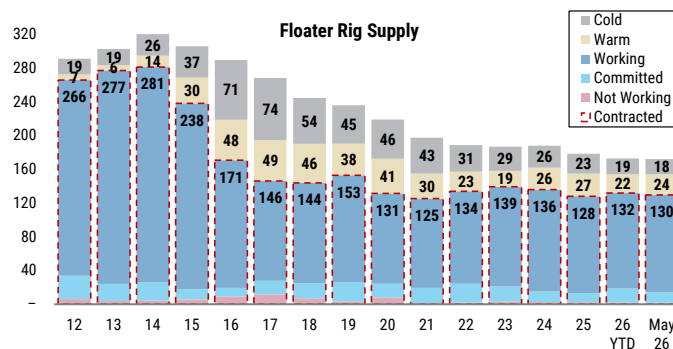
Source: Rystad Energy, Morgan Stanley Research. "Working" rigs include rigs in the yard or moving to location. "Working" defined as rigs in the yard preparing for work, mobilizing to/ from location or on location. "Newb." = "Newbuilds. Excludes newbuilds currently held by shipyard without an affiliated rig contractor. "W+W" utilization includes Working and Warm-Stacked rigs. "W+W+N" includes Working, Warm-Stacked, and Newbuild Rigs.

Exhibit 50: Floater Supply by Contract Status



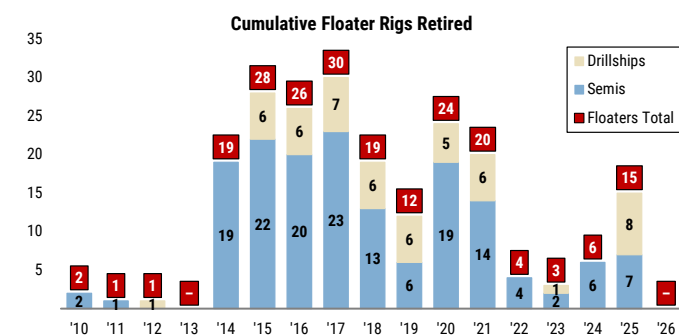
Source: Rystad Energy, Morgan Stanley Research estimates. Note: "Contracted + Committed" = Contracted & Working + Contracted & Not Working + Committed.

Exhibit 51: Floater Supply by Status & Contract Status



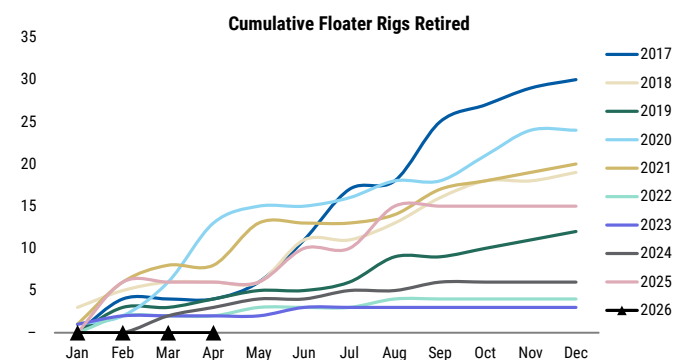
Source: Rystad Energy, Morgan Stanley Research estimates. Note: "Not Working" = Contracted & Not Working, "Working" = Contracted & Working, "Warm" = Warm Stacked, "Cold" = Cold Stacked.

Exhibit 52: Floater Retirements



Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 53: Floater Retirements by Year (Cumulative)

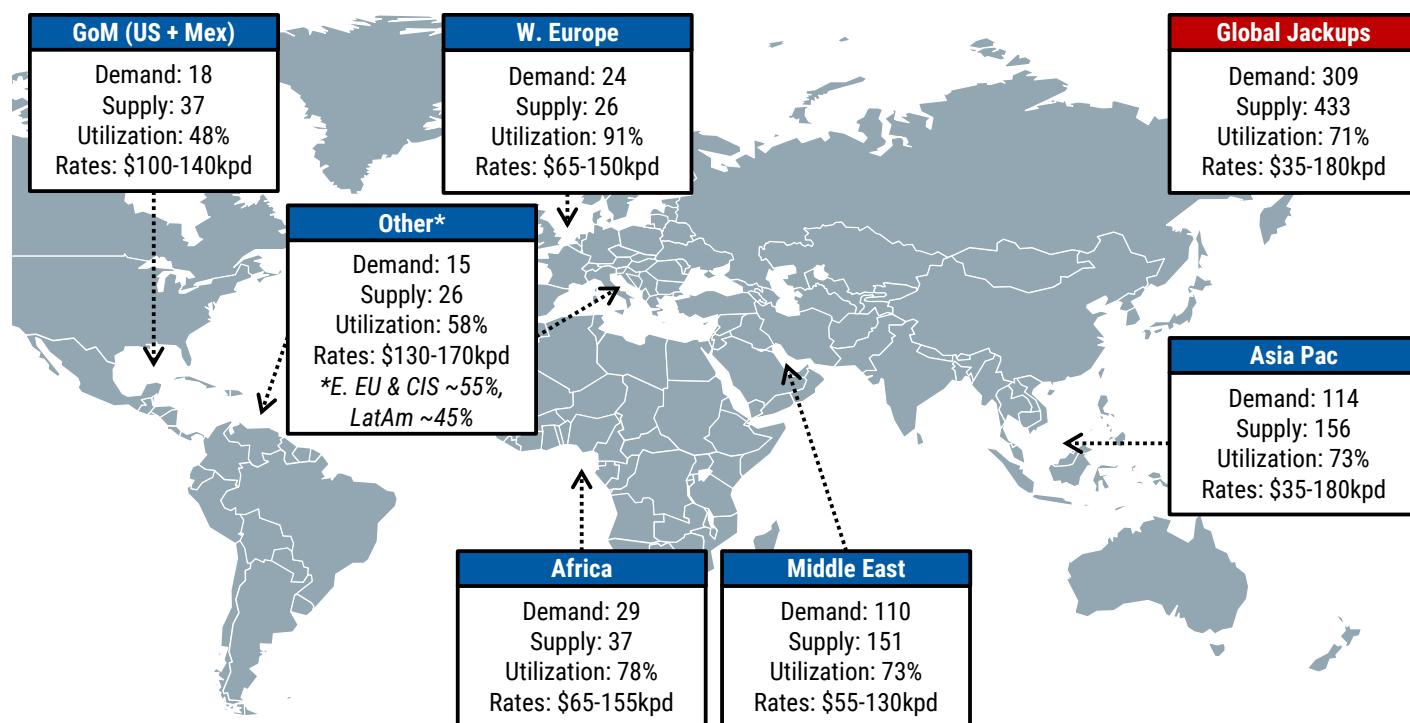


Source: Rystad Energy, Morgan Stanley Research estimates

Jackup Macro Trends

Jackup Utilization & Dayrate Snapshot

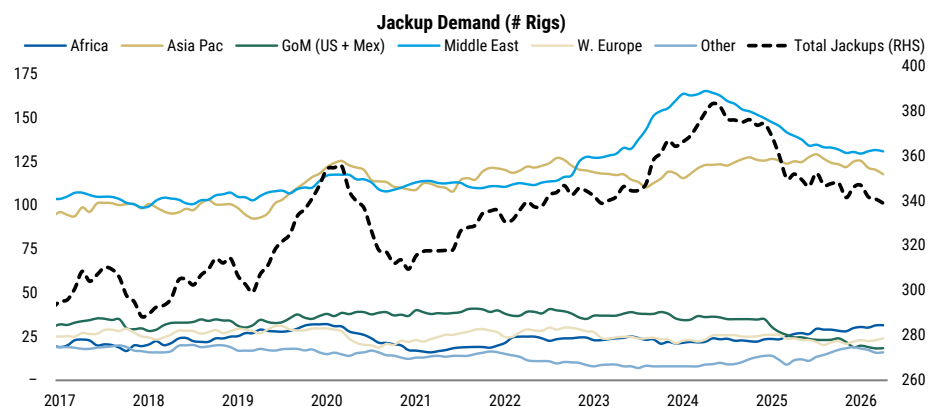
Exhibit 54: Global Jackup Utilization & Pricing



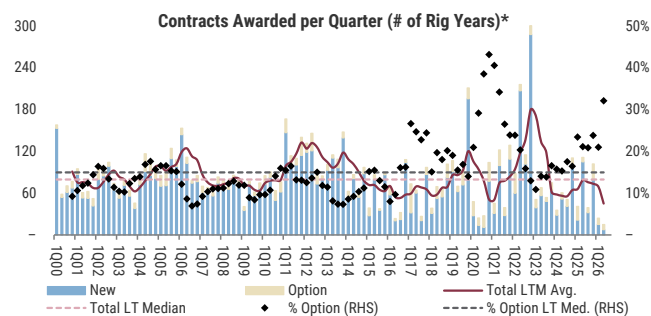
Source: Rystad Energy, Morgan Stanley Research estimates. Note: "Demand" = current contracted & working rigs, "Supply" = marketed supply, i.e., excluding cold stacked rigs, "Utilization" = current marked utilization, "Rates" = dayrate range (min/max) in region over prior ~1-2yrs.

Jackup Contracting Trends

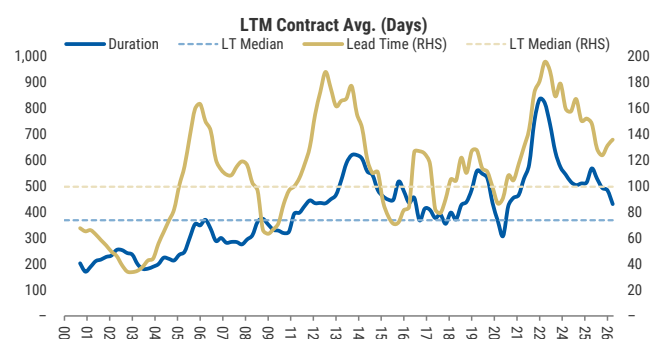
Exhibit 55: Jackup Demand



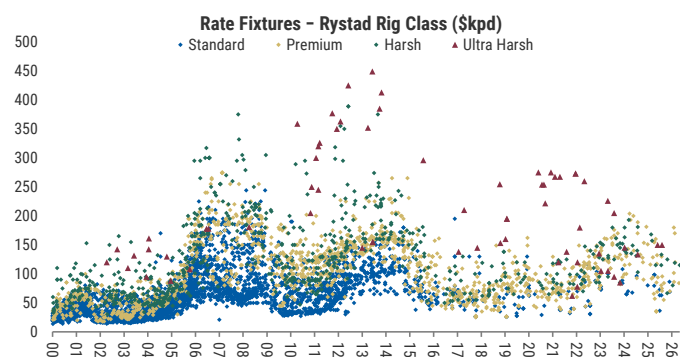
Source: Rystad Energy, Morgan Stanley Research

Exhibit 56: Rig Years Contracted (Quarterly)

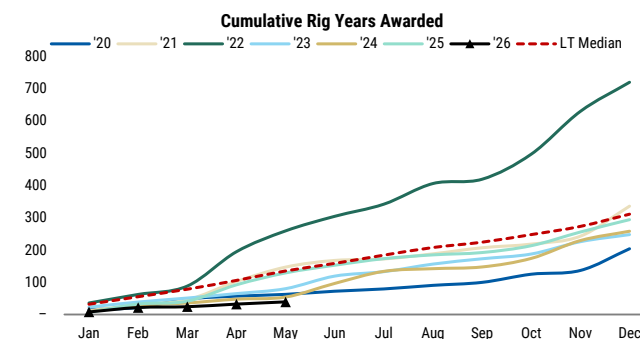
Source: Rystad Energy, Morgan Stanley Research. Note: Includes new unique contracts, contract extensions and exercised options.

Exhibit 58: Contract Lead Time & Duration

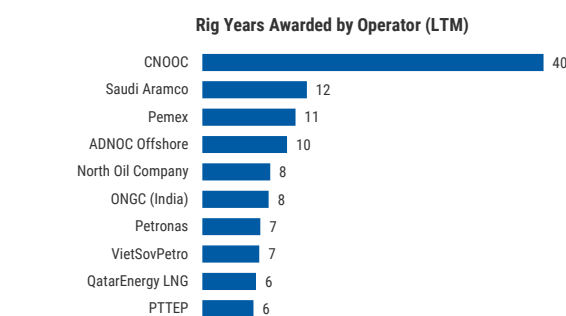
Source: Rystad Energy, Morgan Stanley Research

Exhibit 60: Jackup Fixtures – Rystad Rig Class

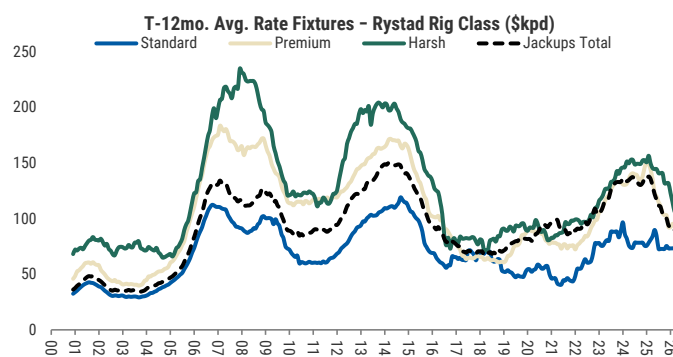
Source: Rystad Energy, Morgan Stanley Research

Exhibit 57: Cumulative Contracting Activity per Year

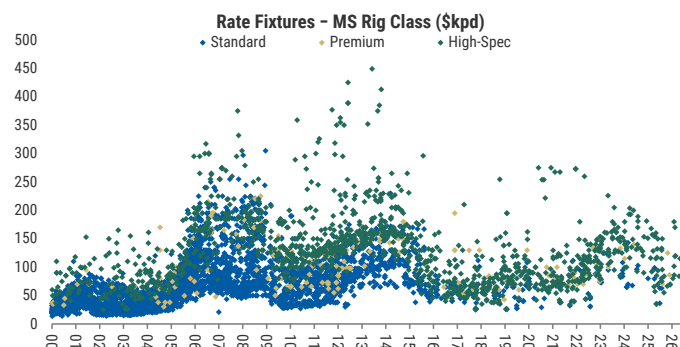
Source: Rystad Energy, Morgan Stanley Research. Note: Includes new unique contracts, contract extensions and exercised options.

Exhibit 59: Rig Years Contracted by Operator

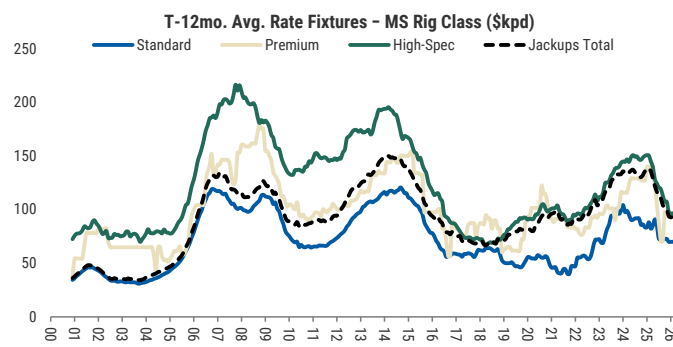
Source: Rystad Energy, Morgan Stanley Research. Note: Includes new unique contracts, contract extensions and exercised options.

Exhibit 61: T-12mo. Avg. Jackup Fixtures – Rystad Rig Class*

Source: Rystad Energy, Morgan Stanley Research. *Note: Excludes Ultra Harsh standalone data series due to sporadic data points

Exhibit 62: Jackup Fixtures – MS Rig Class

Source: Rystad Energy, Morgan Stanley Research

Exhibit 63: T-12mo. Avg. Jackup Fixtures – MS Rig Class

Source: Rystad Energy, Morgan Stanley Research

Exhibit 64:

Latest Jackup Contract Fixtures*

Fixture Date	Operator	Country	Rig Owner	Rig Name	Days	Rate (\$kpd)
5/4/2026	Ineos Group	United Kingdom	Valaris plc	Valaris 122	162	115
2/24/2026	MedcoEnergi	Indonesia	Valaris plc	Valaris 106	45	120
2/17/2026	PTTEP	Thailand	Borr Drilling	Idun	63	170
2/17/2026	Spirit Energy	United Kingdom	Valaris plc	Valaris 248	294	119
1/16/2026	TAQA	Netherlands	Valaris plc	Valaris 123	104	80
10/27/2025	Eni	Netherlands	Borr Drilling	Bestla	364	125
8/5/2025	BP	United Kingdom	Noble Drilling	Noble Intrepid	171	150
8/1/2025	Cairn Energy	India	Greatship Global	Greatdrill Chetna	216	75
7/29/2025	SNOC	UAE	Arabian Drilling Co.	Arabdrill 70	143	130
7/28/2025	GEMPETCO	Egypt	ADES	Rig 141	364	63
7/28/2025	Hibiscus Petroleum	United Kingdom	ADES	Shelf Drilling Fortress	76	133
7/24/2025	Eni	United Kingdom	Valaris plc	Valaris 120	273	115
4/30/2025	EOG Resources	Trinidad and Tobago	Valaris plc	Valaris 117	545	160
4/17/2025	Oil India	India	Greatship Global	Greatdrill Chaaya	180	57
4/8/2025	Foxtrot International	Cote d'Ivoire	Borr Drilling	Gerd	364	155
4/8/2025	VietSovPetro	Vietnam	Borr Drilling	Thor	108	155
10/15/2024	Eni	Mexico	Valaris plc	Valaris 117	315	120
10/10/2024	First E&P	Nigeria	ADES	Shelf Drilling Achiever	1,095	128
7/29/2024	Shell	Trinidad and Tobago	Valaris plc	Valaris 249	366	181
7/22/2024	Central European Petroleum	Poland	Noble Drilling	Noble Resolve	90	140
5/28/2024	Harbour Energy plc	United Kingdom	Borr Drilling	Joro	69	140
5/23/2024	Mellitah Oil & Gas B.V	Libya	Borr Drilling	Vali	461	200
5/10/2024	Enagas	Spain	Noble Drilling	Noble Resolve	498	149
4/22/2024	TotalEnergies	United Kingdom	ADES	Shelf Drilling Fortress	260	135
4/8/2024	PTTEP	Malaysia	Borr Drilling	Gunnlod	89	193
3/15/2024	ONE-Dyas	United Kingdom	Borr Drilling	Prospector 1	254	193
2/8/2024	EGPC (Egypt)	Egypt	ADES	Admarine V	121	65
2/8/2024	EGPC (Egypt)	Egypt	ADES	Admarine VI	729	65
2/6/2024	Petronas	Malaysia	Velesto Energy	Naga 2	271	100
2/6/2024	Petronas	Malaysia	Velesto Energy	Naga 4	741	130
2/5/2024	Shell	United Kingdom	Valaris plc	Valaris 123	214	136
1/9/2024	Eni	Australia	Valaris plc	Valaris 247	101	180
1/9/2024	Ithaca Energy (Delek Group)	United Kingdom	Valaris plc	Valaris 123	84	140
1/9/2024	Wintershall	Denmark	Borr Drilling	Joro	56	115

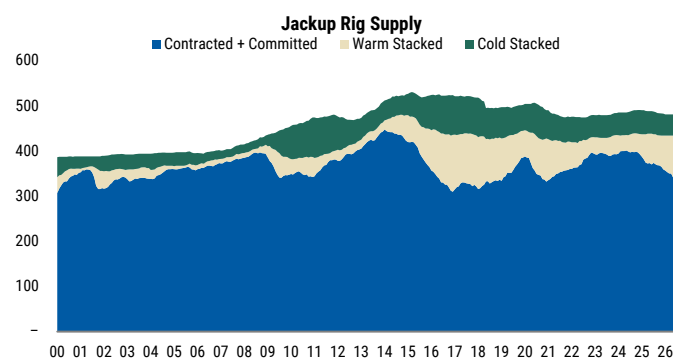
Source: Rystad Energy, Morgan Stanley Research. Contracts over 1 year are in bold. *Note: Excludes contracts where rate information is not available

Jackup Supply Trends

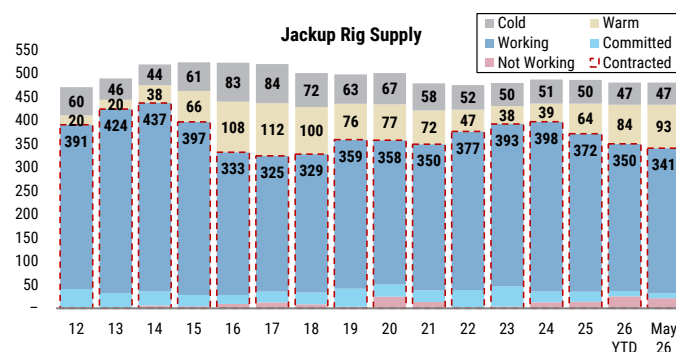
Exhibit 65: Jackup Utilization Snapshot

Rig Class	# of Rigs					Utilization Measures		
	Working	Warm	Newb.	Cold	Total	W+W	W+W+N	Total
Harsh:								
Standard	2	1	—	—	3	67%	67%	67%
Premium	6	1	—	1	8	86%	86%	75%
High-Spec	35	8	—	1	44	81%	81%	80%
Total Harsh	43	10	—	2	55	81%	81%	78%
Benign:								
Standard	68	25	—	33	126	73%	73%	54%
Premium	104	21	—	8	133	83%	83%	78%
High-Spec	135	27	2	3	167	83%	82%	81%
Total Benign	307	73	2	44	426	81%	80%	72%
Total Jackups	350	83	2	46	481	81%	80%	73%

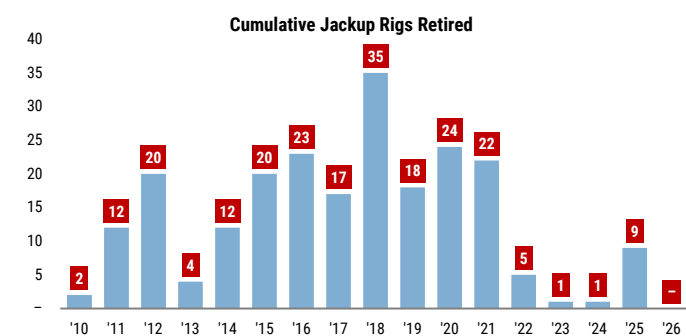
Source: "Working" defined as rigs in the yard preparing for work, mobilizing to/from location or on location. "Newb." = "Newbuilds." "Ret." = "Retirement Candidates." "W+W" utilization includes Working and Warm-Stacked rigs. "W+W+N" includes Working, Warm-Stacked, and Newbuild Rigs. Rystad Energy, Morgan Stanley Research. "Working" rigs include rigs in the yard or moving to location.

Exhibit 66: Jackup Supply by Contract Status

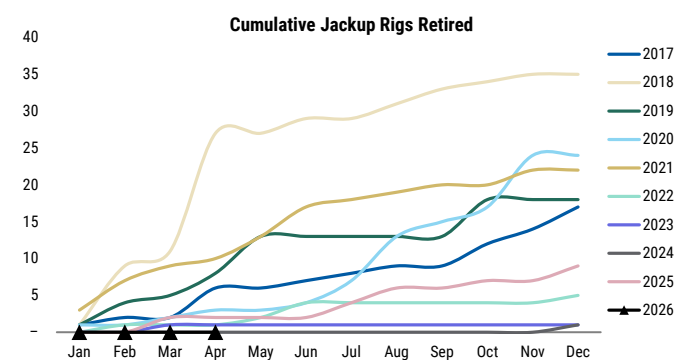
Source: Rystad Energy, Morgan Stanley Research estimates. Note: "Contracted + Committed" = Contracted & Working + Contracted & Not Working + Committed.

Exhibit 67: Jackup Supply by Status & Contract Status

Source: Rystad Energy, Morgan Stanley Research estimates. Note: "Not Working" = Contracted & Not Working, "Working" = Contracted & Working, "Warm" = Warm Stacked, "Cold" = Cold Stacked.

Exhibit 68: Jackup Retirements

Source: Rystad Energy, Morgan Stanley Research estimates

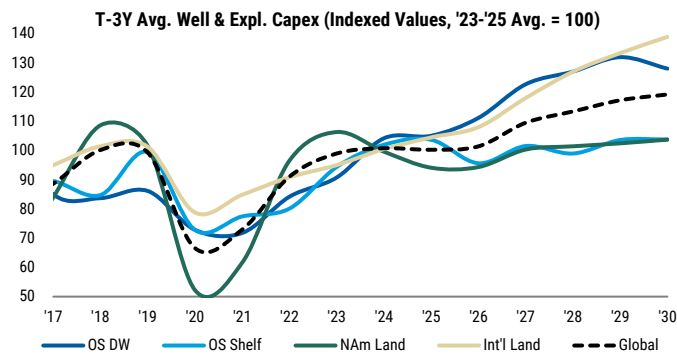
Exhibit 69: Jackup Retirements by Year (Cumulative)

Source: Rystad Energy, Morgan Stanley Research estimates

Offshore Macro Drivers

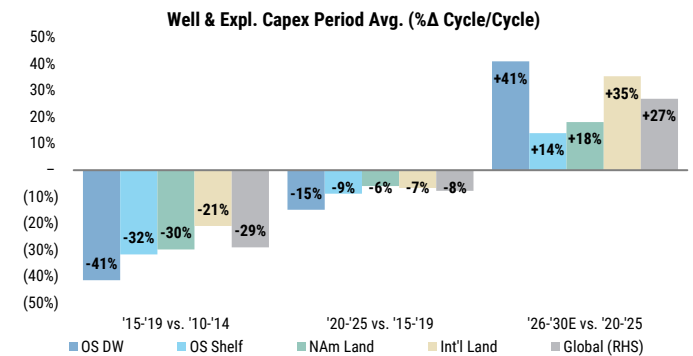
Capex & Activity Drivers by O&G Supply Segment

Exhibit 70: T-3Y Avg. Well & Exploration Capex by Supply Segment



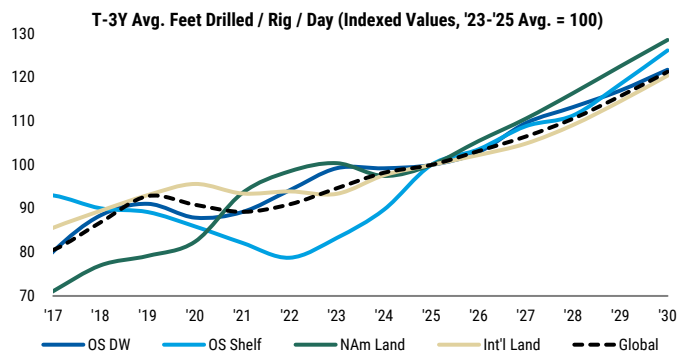
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 71: Cycle-over-Cycle Well & Exploration Capex by Supply Segment



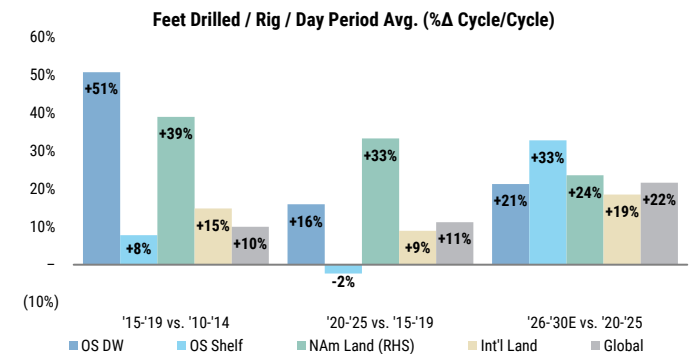
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 72: T-3Y Avg. Feet Drilled per Rig per Day by Supply Segment



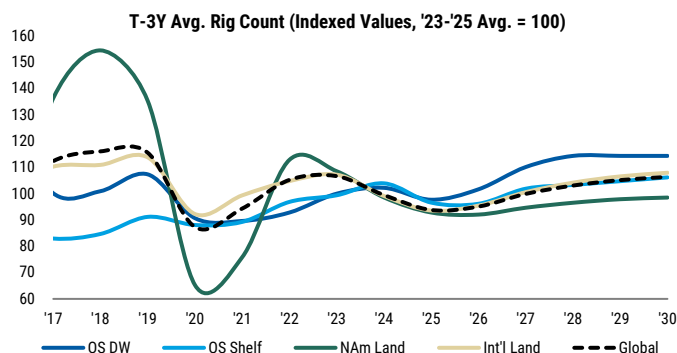
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 73: Cycle-over-Cycle Feet Drilled per Rig per Day by Supply Segment



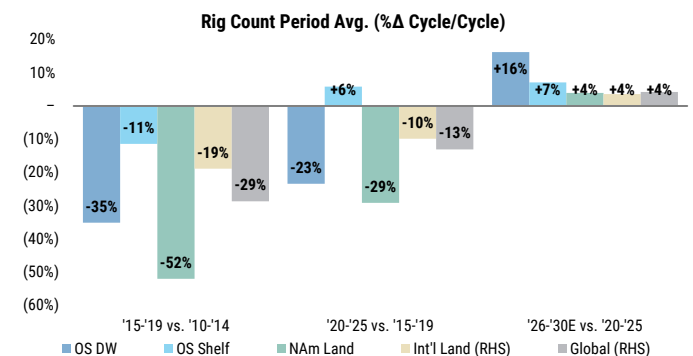
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 74: T-3Y Avg. Rig Count by Supply Segment

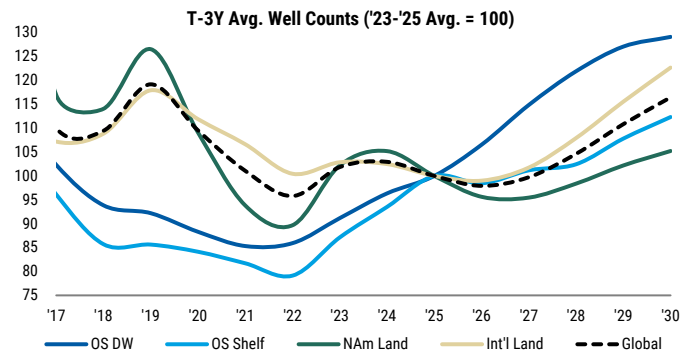


Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

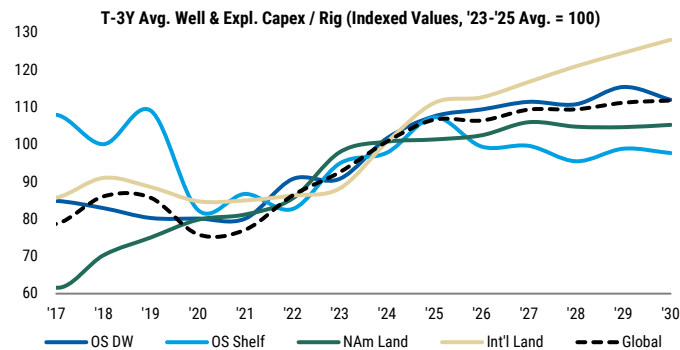
Exhibit 75: Cycle-over-Cycle Rig Count by Supply Segment



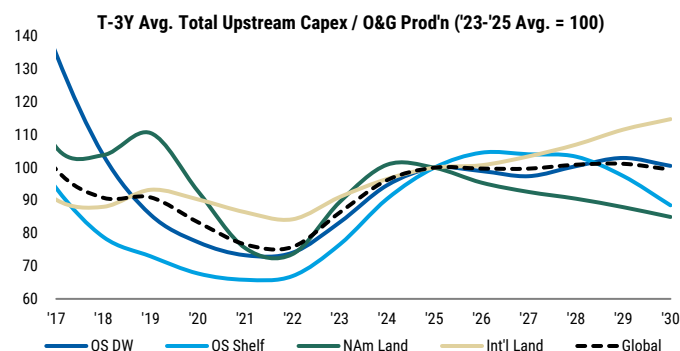
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 76: T-3Y Avg. Well Count by Supply Segment

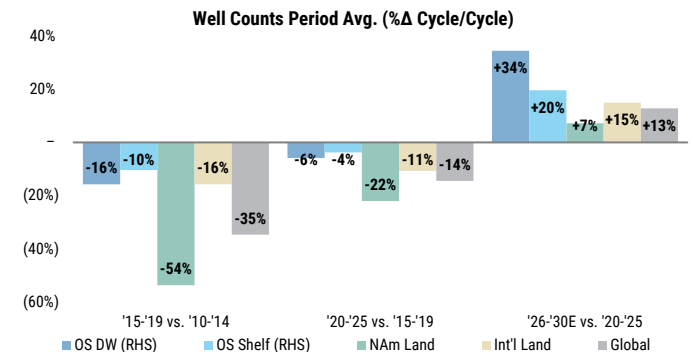
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 78: T-3Y Avg. Well & Exploration Capex per Rig by Supply Segment

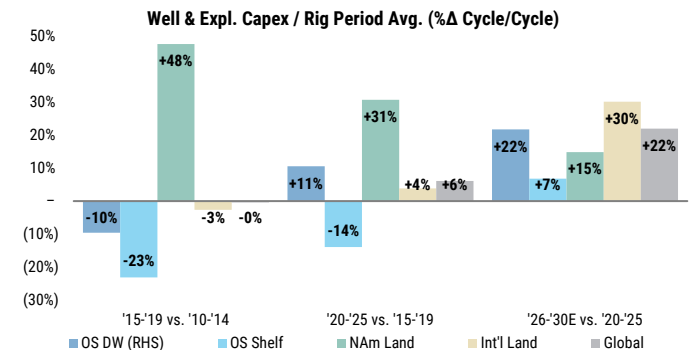
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 80: T-3Y Avg. Capex per boe of O&G Production by Supply Segment

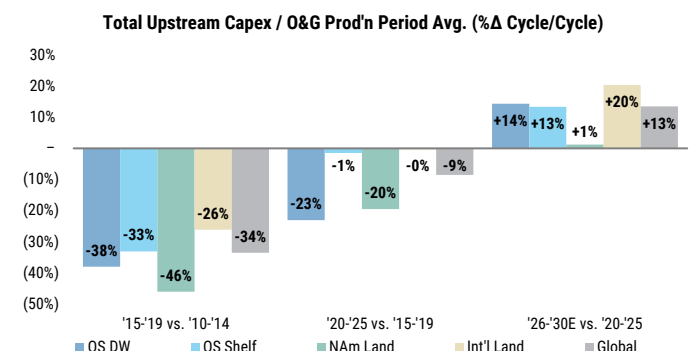
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 77: Cycle-over-Cycle Well Count by Supply Segment

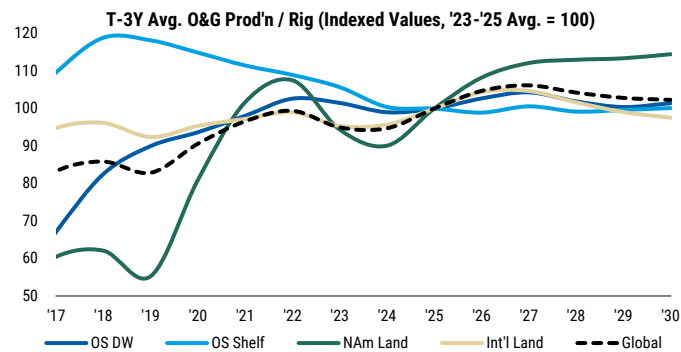
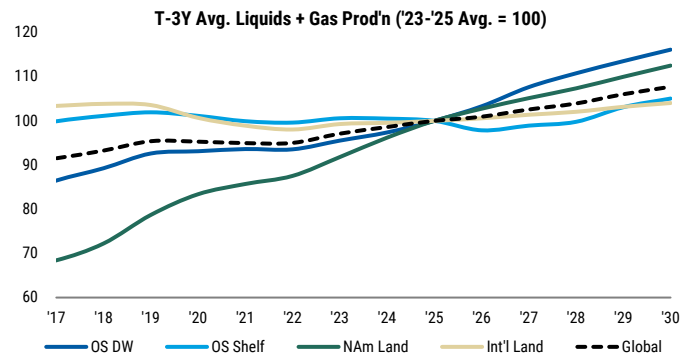
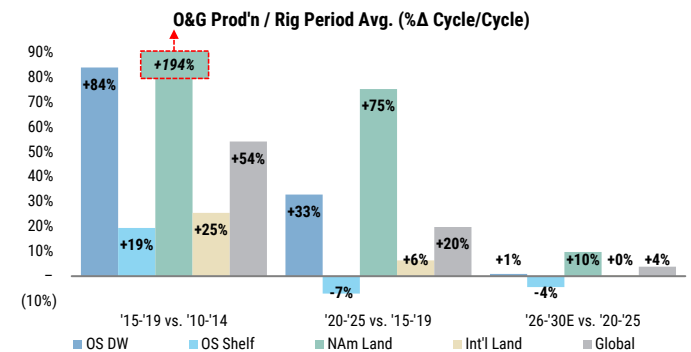
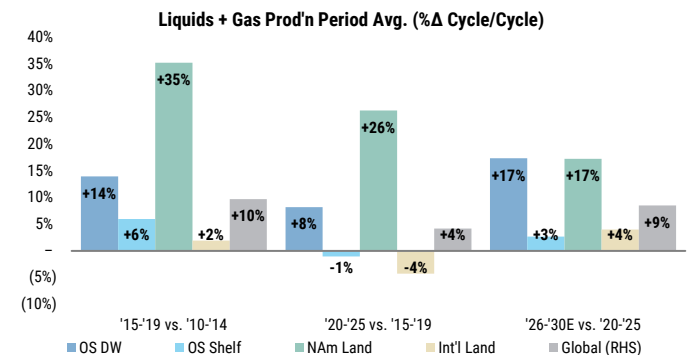
Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 79: Cycle-over-Cycle Well & Exploration Capex per Rig by Supply Segment

Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 81: Cycle-over-Cycle Capex per boe of O&G Production by Supply Segment

Source: Rystad Energy, Morgan Stanley Research estimates. "OS DW" = Offshore Deepwater.

Exhibit 82: T-3Y Avg. boe of O&G Production per Rig by Supply Segment**Exhibit 84:** T-3Y Avg. boe of O&G Production by Supply Segment**Exhibit 83:** Cycle-over-Cycle boe of O&G Production per Rig by Supply Segment**Exhibit 85:** Cycle-over-Cycle boe of O&G Production by Supply Segment

Offshore Project Pipeline Capex and Rig Count by Work Type

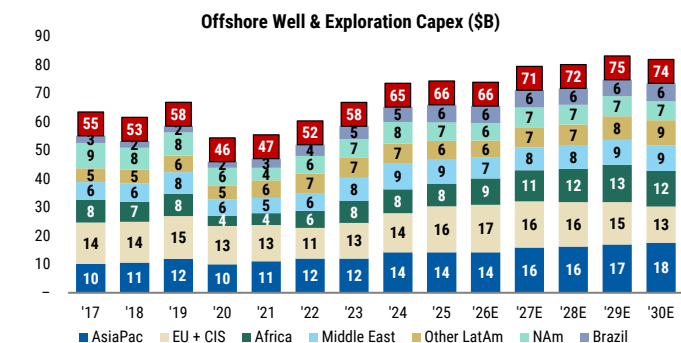
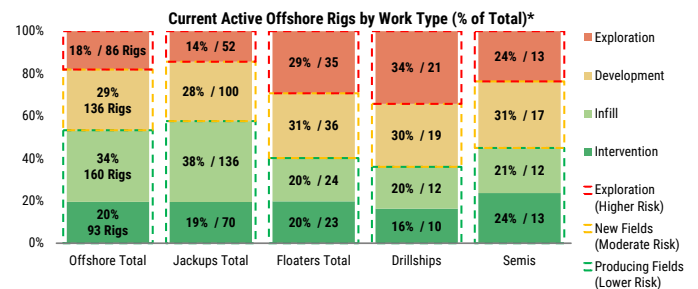
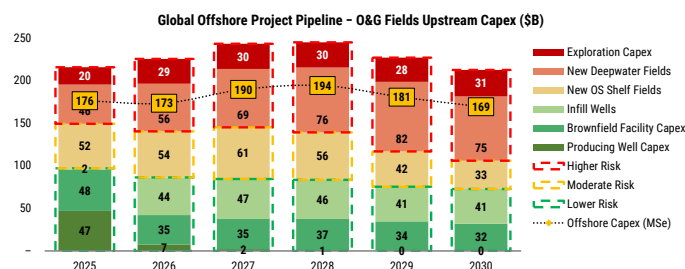
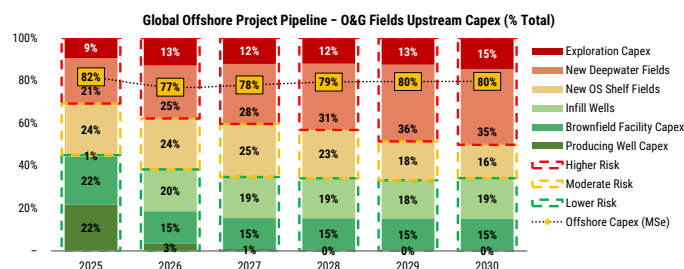
Exhibit 86: Offshore Capex by Region**Exhibit 87:** Active Offshore Rigs by Work Type

Exhibit 88: Offshore Project Pipeline & Capex by Project Lifecycle Stage**Exhibit 89:** Offshore Project Pipeline & Capex by Project Lifecycle Stage (% of Total)

Floater Cold Stacked Supply Detail

Exhibit 90: Cold Stacked Floater Fleet by Driller & Rig Class

Floater Cold Stacked Capacity by Driller	Harsh			Benign Semis			Benign Drillships				Floaters Total
	Pre-6G	6G+	Total	Pre-6G	6G+	Total	Pre-6G	Lo/Mid 6G+	HS 6G+	Drillships	
Valaris	—	—	—	—	1	1	—	—	3	3	4
Seadrill	—	2	2	—	1	1	—	—	—	—	3
Transocean	—	—	—	—	—	—	—	—	3	3	3
SinoOcean Offshore	—	—	—	—	—	—	2	—	—	2	2
Caspian Drilling	—	—	—	1	—	1	—	—	—	—	1
Essar Oilfields Services	—	—	—	1	—	1	—	—	—	—	1
IPC SA de CV	—	—	—	—	1	1	—	—	—	—	1
Noble Drilling	—	—	—	—	—	—	—	1	—	1	1
ONGC	—	—	—	—	—	—	1	—	—	1	1
Operadora CICSA	—	—	—	—	1	1	—	—	—	—	1
Unifin Financiera	—	—	—	—	1	1	—	—	—	—	1
Category Total	—	2	2	2	5	7	3	1	6	10	19

Source: Rystad Energy, Morgan Stanley Research estimates

Exhibit 91: Cold Stacked 6G+ Floater Rig Detail by Driller, Rig Status, & Rig Specs

Cold Stacked 6G+ Floaters		Rig Status Data					Rig Specs			MS Rig Classification					
Rig Owner	Rig Name	Delivery Year	Current Country	Stacked Date	SS Year	Yrs Stacked	Gen	Environ.	DS/Semi	Dual Activity	>=10k Ft	~2.5MM Hookload	Dual BOP	Total	MS Rig Category
Valaris plc	Valaris DS-13	2023	Spain	Mar-25	2025	1.2	7G	Benign	Drillship	1	1	1	1	4	High-Spec 6G+
Valaris plc	Valaris DS-14	2023	Spain	Mar-25	2025	1.2	7G	Benign	Drillship	1	1	1	1	4	High-Spec 6G+
Valaris plc	Valaris DS-11	2013	Spain	Jun-22	2018	4.0	7G	Benign	Drillship	1	1	1	1	4	High-Spec 6G+
Valaris plc	Valaris DPS-1	2012	Malaysia	Feb-26	2027	0.3	6G	Benign	Semi	—	1	—	1	2	Mid-Grade 6G+
Transocean	Ocean Rig Apollo	2015	Greece	Sep-16	2020	9.7	7G	Benign	Drillship	1	1	1	1	4	High-Spec 6G+
Transocean	Ocean Rig Mylos	2013	Greece	Sep-16	2018	9.7	7G	Benign	Drillship	1	1	1	1	4	High-Spec 6G+
Transocean	Ocean Rig Athena	2014	Greece	Mar-17	2019	9.2	7G	Benign	Drillship	1	1	1	1	4	High-Spec 6G+
Noble Drilling	Noble Globetrotter II	2013	United States	Feb-25	2028	1.3	6G	Benign	Drillship	—	1	—	—	1	Low-Grade 6G+
Seadrill Limited	West Phoenix	2008	Norway	Nov-24	2028	1.5	6G	Harsh	Semi	1	1	—	—	2	6G+ H/E
Seadrill Limited	West Eclipse	2011	Namibia	Jul-19	2021	6.9	6G	Benign	Semi	—	1	1	—	2	Mid-Grade 6G+
Seadrill Limited	West Aquarius	2009	Norway	May-23	2024	3.0	6G	Harsh	Semi	—	1	—	—	1	6G+ H/E
Operadora CICSA	Centenario	2010	Mexico	Sep-18	2020	7.7	6G	Benign	Semi	—	1	1	—	2	Mid-Grade 6G+
IPC SA de CV	Bicentenario	2011	Mexico	Jul-19	2020	6.9	6G	Benign	Semi	—	1	—	—	1	Low-Grade 6G+
Unifin Financiera	Frida I	2011	Mexico	Feb-25	2026	1.3	6G	Benign	Semi	—	—	—	—	—	Low-Grade 6G+

Source: Rystad Energy, Morgan Stanley Research estimates

Valuation Methodology and Risks

Halliburton Co (HAL.N)

Base case of \$42/share which is a 50/50 blend of 1) a target multiple of 8.0x 2027e EV/EBITDA (\$45/share) and 2) our discounted cash flow value of \$39/share (with a WACC of 7.7% and implied terminal EV/EBITDA multiple of 7.3x).

Risks to Upside

- Major activity acceleration, particularly in NAM
- Significant market share gain internationally
- Contracting progress above base case for MENA-focused Power JV with VoltaGrid
- Further cost-cutting efforts

Risks to Downside

- Activity surprises to the downside, particularly in NAM
- International market share losses
- Contracting progress below base case for MENA-focused Power JV with VoltaGrid
- Commodity price/cyclical risk

National Oilwell Varco Inc. (NOV.N)

Base case of \$20/share which is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/EBITDA (\$21/share) and 2) our discounted cash flow value of \$20/share (with a WACC of 7.7% and implied terminal EV/EBITDA multiple of 6.9x).

Risks to Upside

- High order intake
- Accretive M&A
- Evolution of energy transition strategy
- Better than expected FCF generation

Risks to Downside

- Slowing oilfield activity
- Indications of market share loss
- Disappointing working capital improvements
- Pricing pressure in excess of our base case

Transocean Ltd. (RIG.N)

Valuation based on ~9.5x EV/EBITDA on our 2027E Base Case EBITDA, which is slightly above historical median (T-5Y ~9.0x) to account for modest earnings upside beyond next year. Key risks include market share loss, inability to market older assets, financial leverage, customer contract cancellations, aggressive bidding behavior by competitors, and cyclical/commodity price risk.

Risks to Upside

- Additional contract wins/utilization above consensus

- Indications of a pricing inflection
- Favorable debt refinancing outcomes
- Deferral of newbuild capex

Risks to Downside

- Failure to secure work for rigs rolling off contract
- Disappointing contracting activity
- Significant pricing declines for new work
- Unfavorable debt refinancing outcomes

Schlumberger NV (SLB.N)

Base case of \$57/share which is a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/EBITDA (\$58/share) and 2) our discounted cash flow value of \$55/share (with a WACC of 7.7% and implied terminal EV/EBITDA multiple of 9.1x).

Risks to Upside

- Continued upstream activity growth
- Greater Int'l pricing power
- Capital return upside
- Positive M&A updates, e.g., smooth integration, synergy upside

Risks to Downside

- Limited capital return
- Oil price / commodity risks
- Slower offshore/int'l cycle vs. our expectations
- Negative M&A updates, e.g., integration and/or synergy realization missteps

Tenaris SA (TS.N)

Base case of \$50/share which is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/EBITDA (\$54/share) and 2) our discounted cash flow value of \$53/share (with a WACC of 7.8% and implied terminal EV/EBITDA multiple of 8.1x).

Risks to Upside

- Global drilling activity accelerations
- Further dividend increases and/or buybacks
- Market share gains
- Cost savings

Risks to Downside

- Weakening drilling activity
- Increased pricing pressure
- Limited FCF generation potential
- Commodity/cyclical risk

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

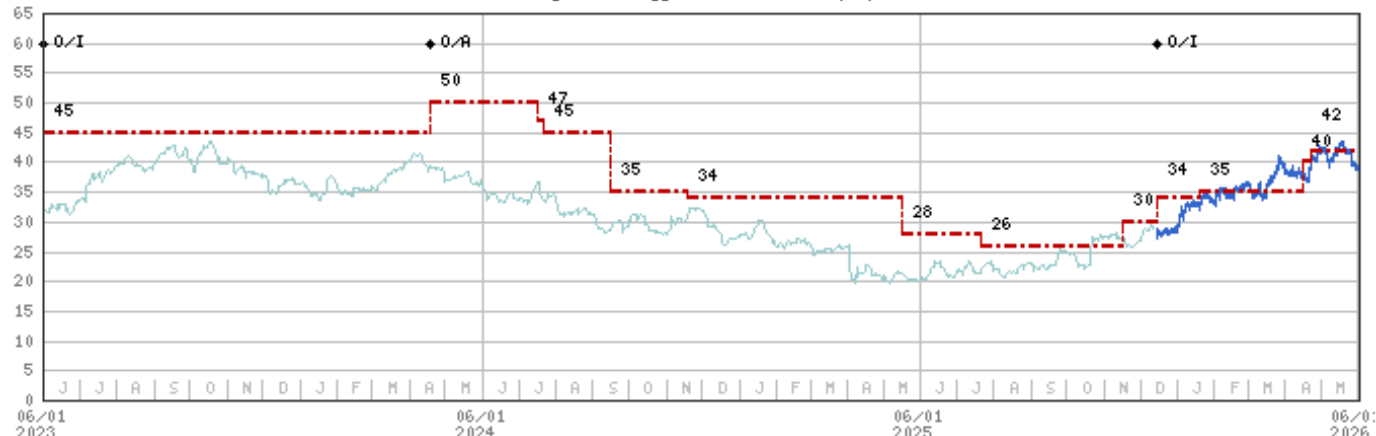
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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below. Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Halliburton Co (HAL.N) - As of 06/01/26 GMT in USD
Industry : Energy Services & Equipment

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

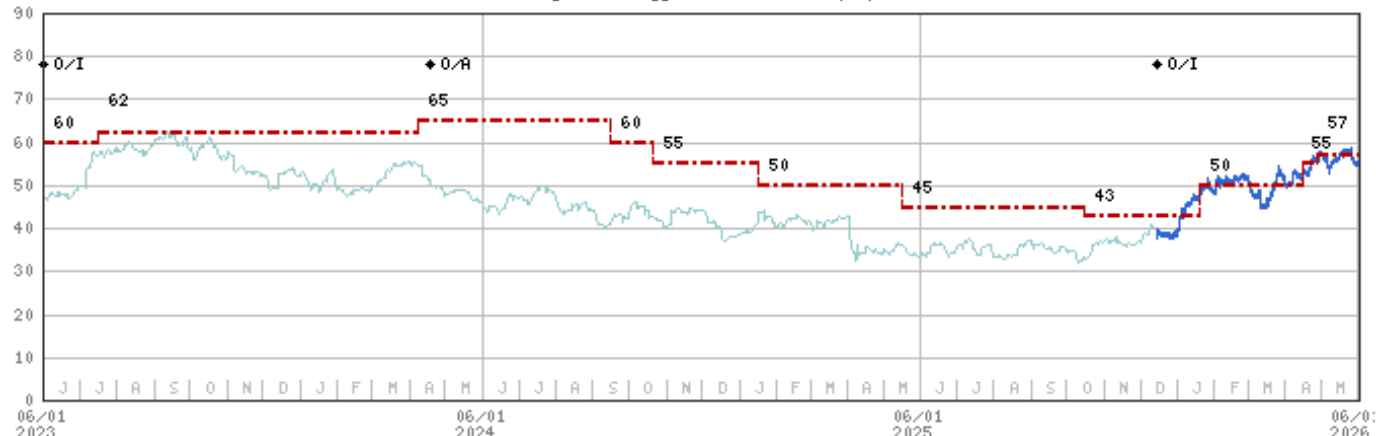
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NOV Inc. (NOV.N) - As of 06/01/26 GMT in USD
Industry : Energy Services & Equipment

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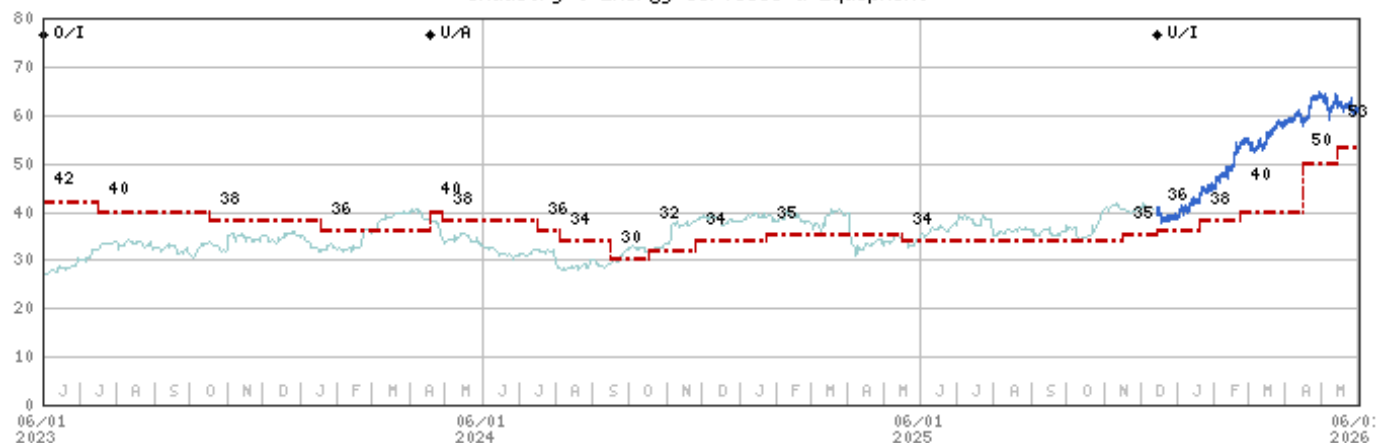
Schlumberger NV (SLB.N) - As of 06/01/26 GMT in USD
Industry : Energy Services & Equipment



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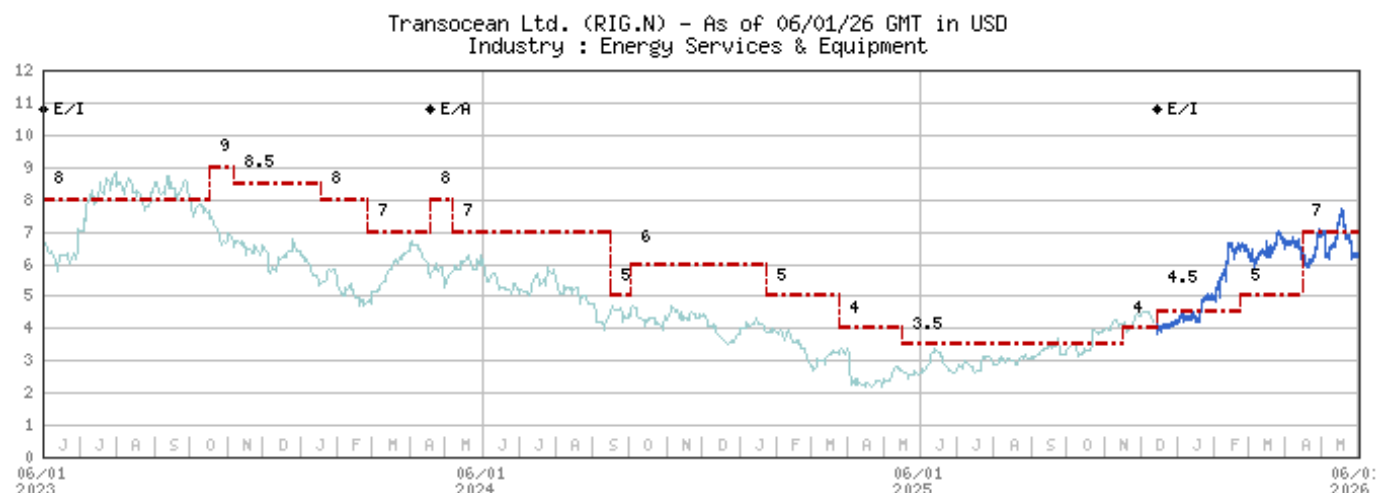
Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Tenaris SA (TS.N) - As of 06/01/26 GMT in USD
Industry : Energy Services & Equipment



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Stock Rating History: 6/1/21 : E/I; 4/18/24 : E/A; 12/15/25 : E/I

Price Target History: 4/13/21 : 3.5; 7/9/21 : 4; 4/18/23 : 8; 10/17/23 : 9; 11/6/23 : 8.5; 1/18/24 : 8; 2/26/24 : 7; 4/18/24 : 8; 5/7/24 : 7; 9/16/24 : 5; 10/3/24 : 6; 1/24/25 : 5; 3/26/25 : 4; 5/16/25 : 3.5; 11/17/25 : 4; 12/15/25 : 4.5; 2/23/26 : 5; 4/15/26 : 7

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Energy Services & Equipment

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/29/2026)
Joe Laetsch, CFA		
Baker Hughes Co (BKR.O)	++	\$63.88
Chart Industries (GTLS.N)	++	\$207.82
Halliburton Co (HAL.N)	O (01/04/2022)	\$38.85
Helmerich & Payne Inc (HP.N)	U (03/26/2025)	\$38.15
Liberty Energy (LBRT.N)	O (03/26/2025)	\$29.26
Nabors Industries Inc. (NBR.N)	O (10/17/2023)	\$92.63
NOV Inc. (NOV.N)	E (12/15/2025)	\$19.96
Patterson-UTI Energy (PTEN.O)	E (10/17/2023)	\$11.21
Perimeter Solutions (PRM.N)	O (06/09/2022)	\$32.28
ProFrac Holding Corp (ACDC.O)	U (10/17/2024)	\$6.11
Schlumberger NV (SLB.N)	O (09/10/2019)	\$54.55
Tenaris SA (TS.N)	U (04/18/2024)	\$60.93
Transocean Ltd. (RIG.N)	E (07/07/2020)	\$6.19

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: EEMEA - Oil & Gas

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/25/2026)
Ricardo Rezende, CFA		
Abu Dhabi National Oil Co Distribution (ADNOCDIST.AD)	O (03/11/2025)	AED 3.93
ADES Holding (2382.SE)	O (11/19/2025)	SAR 19.19
Adnoc Drilling Company PJSC (ADNOCDRILL.AD)	O (05/09/2023)	AED 5.96
ADNOC Gas Plc (ADNOCGAS.AD)	O (04/29/2026)	AED 3.43
ADNOC Logistics & Services PLC (ADNOCLS.AD)	O (04/10/2025)	AED 5.99
Aldrees Petroleum & Transport Svcs. Co. (4200.SE)	E (10/30/2025)	SAR 116.00
Arabian Drilling Co (2381.SE)	O (07/06/2025)	SAR 88.80
HELLENiQ ENERGY Holdings SA (HEPr.AT)	E (07/23/2024)	€10.30

Luberef (2223.SE)	O (12/08/2024)	SAR 126.50
MOL Magyar Olajes Gazipari Nyrt (MOLB.BU)	E (07/23/2024)	HUF 3,854.00
Motor Oil Hellas Corinth Refineries SA (MORr.AT)	++	€36.98
Orlen SA (PKN.WA)	U (07/25/2025)	PLN 141.76
Qatar Gas Transport Nakilat Co Ltd (QGTS.QA)	E (04/10/2025)	QAR4.33
Türkiye Petrol Rafinerileri AS (TUPRS.IS)	E (02/05/2026)	TL 236.20

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* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Energy Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/29/2026)
Guilherme Levy		
GTT (GTT.PA)	U (06/08/2025)	€197.90
Saipem (SPMI.MI)	O (03/16/2023)	€4.12
SBM Offshore NV (SBMO.AS)	O (06/08/2025)	€32.64
Subsea 7 (SUBC.OL)	O (11/10/2024)	NKr 305.00
Technip Energies NV (TE.PA)	E (01/13/2025)	€35.46
Vallourec (VLLP.PA)	E (06/08/2025)	€23.92

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